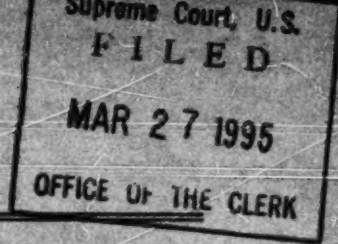


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No. 94-771



In The
Supreme Court of the United States
October Term, 1994

OKLAHOMA TAX COMMISSION,

Petitioner,

v.

CHICKASAW NATION,

Respondent.

On Writ of Certiorari
to the United States Court of Appeals
for the Tenth Circuit

BRIEF OF RESPONDENT

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QUESTIONS PRESENTED

1. Whether the court of appeals could have reasonably concluded that the legal incidence of Oklahoma's motor fuel tax falls upon the retailer of the fuel?
2. Whether, if the answer to the preceding question is "yes," and the retailer is a federally-recognized Indian tribe conducting business in Indian country, principles of federal preemption or Indian sovereignty preclude imposition of the state tax directly on the tribe?
3. Whether the Treaty of September 27, 1830, to which the Chickasaw Nation later became beneficiary by treaty, precludes state taxation of the income of Chickasaw tribal members who are employed by the government of the Chickasaw Nation within Chickasaw Indian country, but who reside outside such Indian country?

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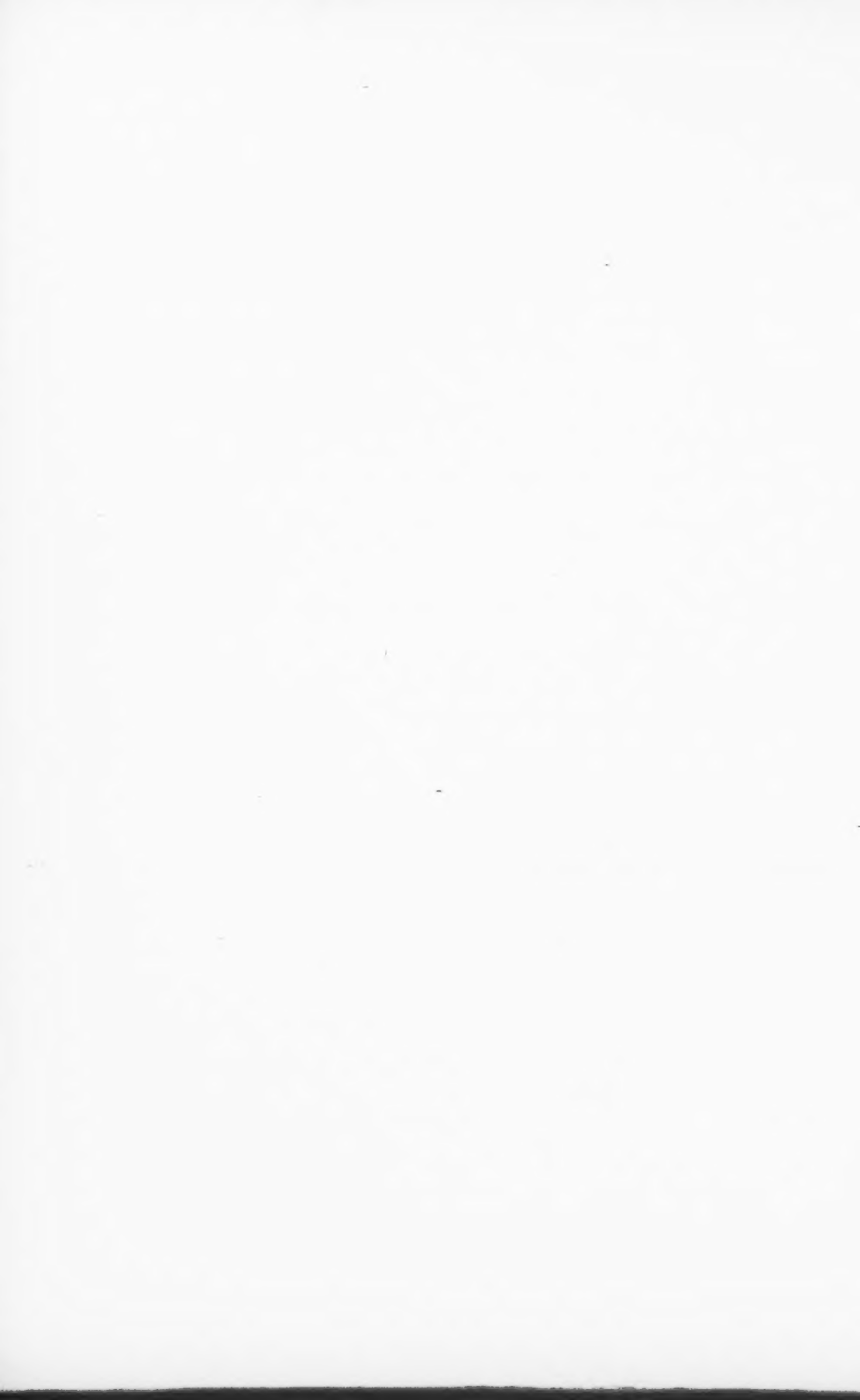
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STATEMENT OF THE CASE

1. Respondent Chickasaw Nation is a federally-recognized Indian tribe, which, as of the time of the arrival of the first Europeans in what is now the southern United States in the sixteenth century, occupied most of what is now western Tennessee, and portions of western Kentucky, northern Alabama and Mississippi.¹ ARRELL M. GIBSON, *THE CHICKASAWS* 4-6 (1970); JAMES H. MALONE, *THE CHICKASAW NATION* 29-51 (1922). From the earliest recorded times, the Chickasaw Nation practiced a form of democratic government. *Id.* at 38.

Having defended itself from French attacks in the mid-eighteenth century, GIBSON, *supra*, at 46-57, and attacks from various powers during the Revolutionary War, *id.* at 72-78, the Chickasaw Nation established friendly relations with the United States, Treaty of Jan. 3, 1786, arts. II, IV, 7 Stat. 21, 21-22. By the dawn of the nineteenth century, the power and sophistication of the Chickasaw, Choctaw, Cherokee, Creek,

¹ In a misleading footnote in its Statement, the Tax Commission cites dictum from a half-century old decision of this Court to the effect that the Five Civilized Tribes have only "remnants" of tribal sovereignty, and that their members "have 'little to distinguish them from all other citizens.'" Pet. Br. 4 n.2. Also cited following that proposition is "F. Cohen, *supra*, at 429-30." *Id.* One page earlier in the Tax Commission's brief, it becomes clear that the "1971 edition" of FELIX S. COHEN, *HANDBOOK OF FEDERAL INDIAN LAW* is the referent, which might lead this Court to conclude that such was the state of what are now known simply as the "Five Tribes" as recently as the 1970s. But there is no "1971 edition" of Cohen's *HANDBOOK*: rather, the document apparently cited by the Tax Commission is a photoduplicated reprint of the original 1942 edition thereof, published by the American Indian Law Center in 1971. It should not be surprising that only a few years following the adoption of the Oklahoma Indian Welfare Act of 1936, 49 Stat. 1967, tribal governments had not yet reached their modern levels of sophistication. Rather than leaving the Tax Commission's denigrating footnote 2 stand unaddressed, the Chickasaw Nation wishes to make clear that neither its sovereignty nor its citizenry has been reduced to indistinguishable remnants. The State of Oklahoma itself has entered into modern intergovernmental compacts with a number of Oklahoma's tribes – including the Chickasaw Nation.

and Seminole Nations (as well as increasing European cultural and political influence on those tribes) had resulted in the then-commonly-applied "Five Civilized Tribes" designation. Prior to the Louisiana Purchase in 1803 (and even subsequently, due to perceived Spanish threats from Florida and Texas to what was then the southwestern corner of the United States), the strategic importance of the lands occupied by the Chickasaw and Choctaw Nations continued to increase. See, e.g., Samuel G. Wells, *Federal Indian Policy: From Accommodation to Removal*, in *THE CHOCTAW BEFORE REMOVAL 185-86* (Carolyn K. Reeves ed., 1985).²

By 1818, responding to increasing non-Indian demands for land in the South, Secretary of War John C. Calhoun prepared to accelerate United States attempts at removal. Recognizing that simultaneous removal of all tribes would be impracticable,

he preferred to begin with a large tribe that was known for its high level of economic, social, and political development. The successful removal of such a tribe would be prestigious and would force other Indian groups to consider their own removal to the West. No Indian nation could meet these requirements better than the Choctaws of Mississippi.

ARTHUR H. DEROSIER, JR., *THE REMOVAL OF THE CHOCTAW INDIANS* 46 (1970). Those efforts resulted in the Treaty of Oct. 18, 1820, 7 Stat. 210, by virtue of which the Choctaw Nation

² During the War of 1812, the presence – not the absence – of the Choctaw Nation in the area proved of critical benefit to the United States. Having defeated forces from other Indian tribes allied with the British in the winter of 1813-14, a thousand Choctaw warriors, asked by Andrew Jackson to assist him at the Battle of New Orleans, distinguished themselves in battle, and were personally thanked by Jackson in the name of the United States. ARTHUR H. DEROSIER, JR., *THE REMOVAL OF THE CHOCTAW INDIANS* 35-36 (1970).

ceded about a fifth of Mississippi (while still retaining substantial lands therein) in exchange for what is now the southern half of Oklahoma, and additional land in what is now western Arkansas. *See* DEROSIER *supra*, at 29 (providing map illustrating lands exchanged). The western Arkansas lands were later ceded to the United States, Treaty of Jan. 20, 1825, art. I, 7 Stat. 234, 234-35, leaving the Choctaws with lands comprising about 40% of Mississippi, and the southern half of what is now Oklahoma. *DEROSIER, supra*, at 29.

By the election of 1828, Calhoun had served for twelve years as Secretary of War under President Monroe, and Vice President during the presidency of John Quincy Adams. During that period, "Calhoun's [removal] policy had countenanced bribery, threats, insulting language, and propaganda; but it had never used, or threatened to use, military force." *Id.* at 98. The Chickasaw and Choctaw Nations, which shared both a close cultural affinity, *see* GIBSON, *supra*, at 4, and a common border running from the Mississippi River into northern Alabama, *compare id.* at 5 (Chickasaw boundaries) with *DEROSIER, supra*, at 29 (Choctaw boundaries), maintained substantial strength, both by virtue of their extensive land holdings and substantial populations.³ On May 22, 1828, a bill to forcibly remove the Choctaws, still targeted as the first major tribe to be removed, was defeated in the United States Congress. *See id.* at 96. But with the election of Andrew Jackson as President of the United States in November of that year (Calhoun was re-elected Vice President), Indian policy would shift to a more aggressive one favoring immediate removal. *Id.* at 99.

Even before Jackson's inauguration, on February 4, 1829, Mississippi adopted an act "to extend legal process into that part of the state now occupied by the Chickasaw and Choctaw tribes of Indians." 1824-1838 Miss. Laws 195. But

³ As of 1828, no more than fifty Choctaws had removed to the west. "Most estimates suggest fifteen, and one as few as eight." *DEROSIER, supra*, at 98; *see also United States v. John*, 437 U.S. 634, 639 (1978).

Jackson, in his first inaugural address, amazed his extremist friends by simply stating: "It will be my sincere and constant desire to observe toward the Indian tribes within our limits a just and liberal policy, and to give . . . humane and considerable attention to their rights and their wants. . . ."

DeRosier, *supra*, at 101. Jackson's Secretary of War, John Eaton, was cognizant of the Five Tribes' desires to maintain their highly-developed systems of government,⁴ Letter from John Eaton to the Cherokee Delegation (April 18, 1829), in DOCUMENTS OF UNITED STATES INDIAN POLICY 44, 45-46 (Francis P. Prucha ed., 2d ed. 1990), and in mid-1829 rejected such claims only where those tribes then resided,⁵ *see id.* at 46. In December 1829, in his first annual message to Congress, President Jackson reconfirmed that policy:

As the white man advanced . . . the Choctaws would surely be weakened, and eventually, would meet the fate of the Mohegan and the Narragansett Indians, who long ago lost their tribal lands and identity. The only way to prevent such a tragedy was for the United States to set aside an ample district west of the Mississippi River, to be guaranteed . . . as long as they occupied the land. There they could be *free of white men* except for a few soldiers who would be stationed in the area to preserve peace on the frontier. . . . [R]emoval to such a Utopia would be

⁴ See generally, e.g., DUANE K. HALE & ARRELL M. GIBSON, THE CHICKASAW 44 (1991) (describing construction and operation of schools by Chickasaw Nation – with *tribal* funds – in mid-1820s); Dennis W. Arrow, *Oklahoma's Tribal Courts: A Prologue, the First Fifteen Years of the Modern Era, and a Glimpse at the Road Ahead*, 19 OKLA. CITY U. L. REV. 5, 8-9 (1994) (discussing published Cherokee code of laws and legal developments in the Choctaw Nation).

⁵ Later in 1829, Eaton also recognized that the blanket extension of state laws to include all Indians "would have disastrous results on tribal culture." Letter from John Eaton to Chief Folsom (July 30, 1829), in DeRosier, *supra*, at 102.

voluntary, but *if* the Indians remained east of the Mississippi River, they would be subjected to the laws of the several states.

DeROSIER, *supra*, at 104 (emphasis added). Three months later, through official and unofficial channels, negotiations between the United States and the Choctaw Nation began, *id.* at 113, and after both extensive negotiation and substantial coercion, *id.* at 117-24, those negotiations, with Secretary Eaton representing the United States, *id.* at 119, produced the text of the Treaty of Dancing Rabbit Creek, Treaty of Sept. 27, 1830, 7 Stat. 333. But in that treaty, which effectively extinguished Choctaw land rights in Mississippi, *id.* art. III, and reduced the quantity of Choctaw lands in Oklahoma, *id.* art. II, the Choctaws were provided with self-government guarantees broader by far than any before offered to any other tribe, *see* 7 Stat. 13-332 (providing text of all treaties entered into between the United States and Indian tribes prior to Treaty of Dancing Rabbit Creek); *cf. infra* at 44 n.40 (limited number of similarly expansive guarantees *thereafter* granted to any other tribe). As drafted, the preamble to that treaty provided for the Choctaws to live "*under their own laws in peace*,"⁶ Treaty of Sept. 27, 1830, 7 Stat. 333 (emphasis added), with its text further providing:

The Government and people of the United States are hereby obliged to secure to the said Choctaw Nation of Red People the jurisdiction of *government* of all the persons and property that may be within their limits west, *so that no Territory or State shall ever have a right to pass laws for the government of the Choctaw Nation of Red People and their descendants*; and that no part of the land granted them shall ever be embraced in any Territory or

⁶ The preamble was not ratified by the Senate, 7 Stat. 333, with the sole expressed objection to the preamble, 7 CONG. DEB. 346-47 (1831), focusing on its forthright acknowledgement that "the President of the United States has said that he cannot protect the Choctaw people from the operation of . . . [Mississippi] laws. . . ."

State; but the U.S. shall forever secure said Choctaw Nation from, and against, all laws except such as from time to time may be enacted in their own National Councils, not inconsistent with the Constitution, Treaties, and Laws of the United States; and except such as may, and which have been enacted by Congress, to the extent that Congress under the Constitution are required to exercise a legislation over Indian Affairs. But the Choctaws, should this Treaty be ratified, express a wish that Congress may grant to the Choctaws the right of punishing by their own laws, any white man who shall come into their nation, and infringe any of their national regulations.

Id. art. IV, 7 Stat. 333-34 (emphasis added).

The Chickasaw Nation negotiated a series of removal treaties with the United States in the early 1830s, HALE & GIBSON, *supra*, at 48-55, although the situs of its final destination was not determined until 1837.⁷ Treaty of Jan. 17, 1837, 11 Stat. 573. That treaty provided that the Chickasaws would acquire the western portion of the Choctaws' Oklahoma lands, "to be held on the same terms as the Choctaws now hold it. . . ." *Id.* art. I, 11 Stat. 573. The United States reaffirmed the 1837 treaty in the Treaty of Apr. 28, 1866, art. X, 14 Stat. 769, 774, and again by statute in 1871, Act of Mar. 3, 1871, ch. 120, § 1, 16 Stat. 566 (codified at 25 U.S.C. § 71 (1988)).

2. Petitioner Tax Commission is a statutorily-created body, OKLA. STAT. tit. 68, § 102 (1991), broadly authorized to enforce the provisions of the state's taxation code, *id.* § 202. That code includes a lengthy motor fuel tax scheme, which,

⁷ The first of those treaties, by which the Chickasaw lands east of the Mississippi River were ceded, Treaty of Oct. 20, 1832, art. I, 7 Stat. 381, 382, began, as did the Treaty of Dancing Rabbit Creek, with the observation that "[t]he Chickasaw Nation find themselves oppressed . . . by being made subject to the laws of the States in which they reside," and continued with an expression of the tribal desire for self-government. *Id.*, pmbl.

excluding its "importer" and "special fuel" provisions, *id.* §§ 601-723 (1991 & Supp. 1994), consumes twenty-two pages of double-column print in the unannotated official version of *OKLAHOMA STATUTES*, *id.* §§ 501-531 (1991 & Supp. 1994).

3. The Chickasaw Nation has established a number of businesses on its Indian-country lands. Among those businesses are two convenience stores which sell, among other things, motor fuels at retail to both members and nonmembers of the Tribe. Pet. App. 2a.

With respect to matters now before this Court, prior to the commencement of this litigation, Oklahoma had imposed its motor fuel excise taxes on sales by the Tribe within its Indian country, and had required the Tribe to collect and remit state income taxes on Indian-country income earned by employees of the tribal government (whether or not such employees were tribal members, and whether or not member employees lived within Indian country). R. 8; R. 21. This litigation, in which the Chickasaw Nation sought declaratory and injunctive relief before the United States District Court for the Eastern District of Oklahoma, ensued.⁸

⁸ Initially, the action encompassed six areas in which the Tribe challenged attempted exercises of jurisdiction by the Tax Commission. Specifically challenged were: (1) the validity of a tax warrant issued personally against the Governor of the Chickasaw Nation for taxes allegedly owed by the Tribe; (2) the validity of state motor vehicle excise taxes as applied to tribally-owned vehicles; (3) the validity of retail sales taxes as applied to various purchases by the Tribe for its own use, with the Tax Commission determining for itself whether such sales were for "governmental" or "proprietary" purposes, and exempting only the former from sales taxation; (4) the validity of state taxes imposed on the sale of "weak" (3.2%) beer at tribal retail outlets; (5) the validity of the motor fuel taxes as applied to sales by the Tribe; and (6) the validity of state income taxes as applied to the income of individuals employed directly by the Tribe in Indian country. R. 8. During the pendency of the litigation in the district court, the Tax Commission essentially confessed error regarding the items numbered (1) and (2) above. *See* R. 21 at 2, 4. During the pendency of the litigation in the court of appeals, it essentially did the same with respect to

4. The court of appeals held in favor of the Tribe on the fuel tax issue, and in its favor as well on the income tax question, although in the latter case, limited to the income of tribal members.⁹ With respect to the motor fuel taxes, it determined that the legal incidence of such taxes falls upon the retailer of the fuel, and that in this case the retailer is a federally-recognized Tribe doing business in Indian country. Consequently, it concluded, that tax is not opposable to the Tribe. Pet. App. 2a, 12a-16a. And with respect to state taxation of the income of tribal members directly employed by the government of the Chickasaw Nation who perform their functions in Indian country, the court of appeals concluded that such taxation is preempted by treaty guarantees still in force as the supreme law of the land. Pet. App. 19a-30a.

Immediately following the issuance of the court of appeals' judgment in this case, the Chickasaw Nation, which has its own Tax Commission and taxation code, amended that code to impose motor fuel taxes equivalent to those formerly imposed by the state with respect to all fuel sales in Chickasaw Indian country. Resp. to Applic. for Stay App. A (No. A-227).

5. This Court granted the Writ of Certiorari herein on January 6, 1995. Subsequent to that date, legislation was introduced before the Oklahoma legislature which, if enacted, would materially alter the legal relationships of the parties to this litigation, and affect the posture of the issues before this Court. The pending legislation, which was adopted by the Oklahoma House of Representatives on March 9, 1995 and is

the sales tax question, numbered (3) above. See Pet. App. 17a-19a. Thus, those three issues were removed from this litigation. The beer tax issue, numbered (4) above, was resolved adversely to the Chickasaw Nation by the court of appeals, Pet. App. 4a-12a, and the Tribe has not sought certiorari on that issue.

⁹ The court of appeals rejected the Chickasaw Nation's contention that treaty rights also shielded the income of nonresident *nonmember* employees from the state's income tax, Pet. App. 21a-23a, and the Tribe has not sought certiorari on that issue.

now before the Oklahoma Senate, is reproduced in an Appendix to this brief. *Infra* at 1a-23a.

SUMMARY OF ARGUMENT

1. Two of the three issues now properly before this Court¹⁰ address the validity of Oklahoma's motor fuel excise tax as applied to Indian-country retail fuel sales by the Chickasaw Nation. As to those issues, the Chickasaw Nation will defend three straightforward propositions.

First, this Court has long adhered to a *per se* rule forbidding state taxation whose legal incidence is on Indian tribes regarding tribal activities in Indian country absent congressional consent. The Tax Commission struggles mightily to establish that "*per se* rule" means "balancing test," see *infra* at 33-36, 39, and that the *legal* incidence question is secondary to the alleged locus of the "economic burden," see Pet. Br. 12, of the tax. But this Court has expressly rejected the former proposition, *inter alia*, in *County of Yakima v. Yakima Indian Nation*, 502 U.S. 251, 267 (1992), and expressly rejected the latter, *inter alia*, in *Gurley v. Rhoden*, 421 U.S. 200, 204 (1975).

Second, the *per se* rule, which establishes a zone of predictability in an area of law with a greater need for certainty than most, should not now be abandoned by this Court. In that conclusion, it is pleased to be supported by the eleven large Indian-country states which have appeared as amici in this case. Brief of States of South Dakota [*et al.*] in Support of Petitioner at 1-2 [hereinafter "States' Br."]; *cf.*

¹⁰ The Chickasaw Nation will establish herein that the Tax Commission's eleventh-hour, three-paragraph contention concerning the Hayden-Cartwright Act, 4 U.S.C. § 104, see Pet. Br. 23-24, which was neither argued by either party below nor even *alluded* to in the Petition or its Questions Presented, is not properly before this Court, *infra* at 15-18, and that the only justification proffered by the Tax Commission for consideration of that issue by this Court is incredible, *infra* at 16-18.

County of Yakima, 502 U.S. at 268 (“For reasons of practicality, as well as text, we adhere to our *per se* approach.”).

Third, this Court has long given great deference to courts of appeals’ interpretations of state law. The Chickasaw Nation will establish, through both textual and structural analysis, that the Tenth Circuit’s conclusion that the legal incidence of Oklahoma’s fuel tax is on retailers (in this case, the Chickasaw Nation, thereby triggering the *per se* rule) was a reasonable one. Moreover, it will demonstrate that taken as a whole, the Tax Commission’s proffered construction of the state’s fuel-tax scheme (whichever way the Tax Commission argues it, *see generally infra* at 13-14 & n.14 (describing earlier reversals of position)), may establish an absurd structure pursuant to which no one *really* has to pay the tax, *e.g.*, *infra* at 26 n.22.

2. In 1830, the Choctaw Nation was provided with treaty guarantees more comprehensive than any before provided in the history of the United States; Respondent Chickasaw Nation became a beneficiary to those guarantees in 1837. The Tax Commission would have this Court construe them as dead letter, but the Chickasaw Nation will establish the limited proposition that such guarantees shield the *income* of tribal *members*, employed by the *government* of the Chickasaw Nation *within its Indian country*, from state taxation (wherever such members may reside). It will do so by textual and structural analysis, and by legislative history cognizable pursuant to applicable canons of construction.

ARGUMENT

I. IN LIGHT OF LEGISLATION NOW PENDING BEFORE THE OKLAHOMA SENATE, THIS COURT MAY WISH TO CONSIDER DISMISSING THE WRIT AS IMPROVIDENTLY GRANTED.

1. In its Petition, the Tax Commission asserted that “[i]t is indisputable” that the state could impose its motor fuel tax on sales by the Chickasaw Nation “by declaring the tax to fall on the consumer. . . .” Pet. 17; *see also* Pet. Br. 13-14. While

maintaining that pursuant to *Washington v. Confederated Tribes of the Colville Indian Reservation*, 447 U.S. 134 (1980), and *Moe v. Confederated Salish & Kootenai Tribes*, 425 U.S. 463 (1976),¹¹ inter alia, the state may not impose its motor fuel tax on Indian-country sales by the Tribe to tribal members, *infra* at 40-41, the Chickasaw Nation does not otherwise take issue with the Tax Commission's assertion.

2. In legislation which was approved by the Oklahoma House of Representatives on March 9, 1995 (and which is now pending before the Oklahoma Senate), OKLA. STAT. tit. 68, §§ 502, 502.2, 502.4, 502.6, 516, and 522 (1991 & Supp. 1994), are amended to include, inter alia, the following language in each:

It is the purpose and intent of this section that the tax levied on gasoline pursuant to the provisions of this article shall be a levy and assessment on the consumer, and the levy and assessment on other persons as specified in this article shall be as agents of this state for the collection of the tax.

Infra at 3a, 5a, 8a, 10a, 17a, 19a-20a. That legislation also amends the state's diesel fuel statutes, OKLA. STAT. tit. 68, §§ 502.1, 502.3, 502.5, 502.7, and 522.1 (1991), to include identical language modified only by the substitution of "diesel fuel" for "gasoline," *infra* at 4a, 6a, 9a, 12a, 21a, and contains conforming amendments to OKLA. STAT. tit. 68, §§ 505(C) and 520 (1991 & Supp. 1994), *infra* at 15a-16a, 19a. The Chickasaw Nation does not dispute that such statutory modifications would, if enacted, be sufficient to move the incidence of the state's motor fuel taxes from retailers to ultimate consumers.

¹¹ In those cases, this Court, having already determined that the legal incidence of the state cigarette taxes there in issue was on ultimate consumers, *Colville*, 447 U.S. at 142 & n.9; *Moe*, 425 U.S. at 481-82, nevertheless held that such state taxes were valid only as applied to tribal nonmembers. *Colville*, 447 U.S. at 158; *Moe*, 425 U.S. at 480.

3. The Chickasaw Nation maintains that the fuel tax is non-opposable to it (with respect to sales to nonmembers) *solely* because its legal incidence falls on the Tribe, and the activity¹ taxed is conducted in Indian country. Br. in Opp. 12-25; *infra* at 19-39. But should the pending legislation be enacted, that issue will be rendered moot.¹²

4. In addition to the "incidence of the fuel tax" consequences of the pending legislation discussed above, that legislation would add the following paragraph to OKLA. STAT. tit. 68, § 527 (Supp. 1994):

C. Sales of motor fuel and diesel fuel to federally recognized tribes for use in tribally owned vehicles *used exclusively for governmental purposes* shall be exempt from the taxes levied by this Article. Federally recognized Indian tribes shall be issued a tax exemption certificate from the Oklahoma Tax Commission *for that portion authorized by this section to be tax exempt.*

Infra at 22a (emphasis added).

Prior to this litigation reaching the court of appeals, the Tax Commission sought to impose a "governmental/proprietary" distinction (and to reserve to itself the power to apply that distinction) in the context of applying its *sales* tax to purchases made by the Tribe for its own use. *Supra* at 7-8 n.8. It withdrew that jurisdictional assertion before the court of appeals, with that court reproducing the Tax Commission's letter which effectuated that result in the text of its opinion. Pet. App. 17a-18a. In consequence, the court of appeals did not rule on the Chickasaw Nation's objections to the Tax Commission's earlier assertions of such jurisdiction. *Id.* at 19a & n.5. But as is apparent from the proposed language

¹² While it is true that the portion of the first Question Presented which relates to Indian-country fuel purchases by *members* from the Tribe would not be mooted, that issue is a small component of this case, see Pet. Br. 12-13 (emphasis in original) ("The [fuel] purchasers . . . are, in substantial part, *non-Indians* or *non-members* of the Tribe."), and presents no novel issue to this Court, *infra* at 40-41.

quoted above, adoption of the pending legislation would recreate the issue formerly withdrawn from submission to the court of appeals, albeit in a fuel tax rather than the earlier sales-tax context. No such issue is now before this Court.

II. PURSUING A "MOVING TARGET" APPROACH, THE TAX COMMISSION'S PETITION REVERSED ITS FORMER "INCIDENCE OF THE FUEL TAX" THEORY OF THE CASE, AND ITS BRIEF-IN-CHIEF NOW SEEKS TO ADD AN ADDITIONAL THEORY NEVER BEFORE ARGUED, AND NOT PRESENTED BY ITS PETITION FOR CERTIORARI.

A. The Tax Commission's New Theory that the Legal Incidence of the Fuel Tax Is on the Ultimate Consumer Is the Opposite of What It Argued to the Court of Appeals and District Court Below.

At every stage of the instant litigation below, the Tax Commission vigorously maintained that the legal incidence of Oklahoma's motor fuel tax was on the *wholesale distributor*. Br. in Opp. 16 (quoting Tax Commission's briefs before court of appeals and district court). Yet astoundingly, in its Petition, the Tax Commission did a 180-degree pirouette, abandoned the central premise of its former fuel-tax argument (which it had pursued through three years of litigation below), and urged to this Court – with equal conviction – that the legal incidence of the motor fuel tax is *really* on the *ultimate consumer*. Pet. 20-23. In such a context, at the very least, the Tax Commission's representation to this Court that "*the State consistently has understood the incidence of the tax to fall on the consumer,*" Pet. 17 (emphasis added),¹³ lacks credibility of the most fundamental kind.¹⁴

¹³ Incomprehensibly, the Tax Commission actually *reiterates* that patently false representation to this Court in its Brief-in-Chief, Pet. Br. 30, even after the Chickasaw Nation called this Court's attention, Br. in Opp.

Nevertheless, this Court granted the Writ herein on the Questions Presented *by the Tax Commission*, and the Chickasaw Nation acknowledges that the legal incidence of the fuel tax – whichever way the Tax Commission wishes to argue it – is “fairly included” in the Tax Commission’s second Question Presented. The Chickasaw Nation will therefore respond on the merits of *that* new Tax Commission theory in this brief. See *infra* at 22-32.

But the Chickasaw Nation respectfully submits that the above-described facts provide meaningful context to a far more egregious attempt by the Tax Commission to smuggle an entirely new issue into this case, never before argued, neither cited nor briefed to this Court in the Petition, not “fairly included” in any Question Presented, and raised for the first time in the lengthy history of this litigation in the Tax Commission’s Brief-in-Chief on the merits to this Court. In the immediately-following subproposition, the Chickasaw Nation will strongly urge this Court to decline to reward appeal by ambush, and to refrain from exercising its acknowledged *power* to consider or resolve that issue.

16, to its earlier directly contradictory position concerning the legal incidence of the tax.

¹⁴ Worse yet, having utterly abandoned its “incidence is on the distributor” argument in its Petition, and perhaps troubled by the fact that the Chickasaw Nation called the attention of this Court to that fact, *see* Br. in Opp. 16-17, the Tax Commission now attempts to move the target yet again by attempting to have it *both* ways in its Brief-in-Chief, *see* Pet. Br. 39. Respondent can only imagine how the Tax Commission will argue the “legal incidence” question in its Reply, but believes that in arguing that the legal incidence is on wholesalers, consumers, or either, it has now exhausted the universe of possibilities potentially availing to it. In any event, the Chickasaw Nation will establish to this Court that the legal incidence of the state’s fuel tax is on retailers – exactly where the court of appeals concluded (and where the Tribe has always contended) that it was. *Infra* at 22-32.

B. The Tax Commission's New Theory Based on the Hayden-Cartwright Act, 4 U.S.C. § 104, Should Neither be Considered Nor Resolved by this Court.

1. The Hayden-Cartwright Act was neither raised in the Tax Commission's answer, R. 21, nor invoked by the Tax Commission at any stage below, *e.g.*, R. 25, R. 31. In a footnote, *sua sponte*, the court of appeals expressly noted:

In *White Mountain Apache Tribe v. Bracker*, 448 U.S. 136, 151 n. 16 (1980), the Supreme Court declined to reach the question whether Indian reservations might be encompassed by the Hayden-Cartwright Act, 4 U.S.C. § 104, which provides for the imposition of state fuel taxes "on United States military or other reservations." *This issue was not raised before this court, and we express no opinion on it.*

Pet. App. 14a n.4 (emphasis added).

2. In September 1994, the Tax Commission petitioned Justice Ginsburg to stay the court of appeals' judgment. (The stay was denied by Justice Breyer, as new Circuit Justice, on October 11.) Nowhere in its application did the Tax Commission cite or mention the Hayden-Cartwright Act. Later in October 1994, the Tax Commission filed its Petition. Nowhere in that Petition is the Hayden-Cartwright Act cited or mentioned.

The Tax Commission's first Question Presented inquires "[w]hether *principles of federal pre-emption or Indian sovereignty preclude* a state" from imposing its motor fuel tax under certain circumstances. Pet. i (emphasis added). But it is clear that the Tax Commission's new Hayden-Cartwright theory maintains that the Act "*expressly authorizes*," Pet. Br. 24 (emphasis added), a tax *otherwise forbidden* by federal law. Such a contention is neither a "principles of Indian sovereignty" nor a "federal *pre-emption*" argument in any form known to Respondent. And since neither the Tax Commission's second (incidence of the fuel tax) nor third (income

tax) Questions Presented encompass the Hayden-Cartwright question either, that issue is not "fairly presented" by the Petition. *See* SUP. CT. R. 14.1(a).

3. Although there is no statutory requirement that an issue be raised in the court of appeals in order for this Court to enjoy the power to decide it, this Court, as a prudential matter, has generally imposed such a requirement. *E.g.*, *EEOC v. FLRA*, 476 U.S. 19, 24 (1986) (per curiam). Absent exceptional circumstances, its reluctance to pass on such issues has been still further increased where the issue was not raised in the Petition. *E.g.*, *Berkemer v. McCarty*, 468 U.S. 420, 443 & n.38 (1984). Among the most frequently-articulated policy considerations supporting that approach are: (1) providing an enhanced opportunity for this Court to avail itself of prior deliberation of the issue; (2) encouraging petitioners to candidly inform this Court as to the issues to be presented, so as to fully inform its judgment on the decision whether to grant the Writ (and if so, on what issues); (3) respect for state supreme courts and federal courts of appeals; (4) fairness to the opposing party; and (5) the efficient administration of an integrated system of trial and appellate courts.

4. The Tax Commission has pointed to no exceptional circumstances warranting deviation from this Court's normal practice herein. In fact, the only justification it presents for not having raised the issue below is fatuous. That justification, *verbatim*, is as follows:

Oklahoma did not assert the Act in defense of its tax in the lower courts because it was of the view that "the relevant boundary for taxing jurisdiction is the perimeter of a formal reservation, not merely land set aside for a tribe or its members." Sac and Fox, 113 S. Ct. at 1991. The State therefore viewed Chickasaw lands as indistinguishable for fuel tax purposes from other lands; because Chickasaw lands were seen as within the State's taxing jurisdiction, they were seen as outside the scope of the Hayden-Cartwright Act. But the Court's decision in Sac and Fox, issued after the state filed its brief in

the court of appeals, rejected the State's position – and therefore implicitly made clear that the Act applies to Indian country.

Pet. Br. 24 n.11 (emphasis added).

In other words, having not read (or not believed) this Court's pronouncements on the "Indian country" issue in *California v. Cabazon Band of Mission Indians*, 480 U.S. 202, 207 n.5 (1987) (emphasis added) (definition of "Indian country" contained in 18 U.S.C. § 1151 "applies to questions of both criminal and civil jurisdiction"), or *DeCoteau v. District County Court*, 420 U.S. 425, 427 n.2 (1975) (same), or *United States v. John*, 437 U.S. 634, 648-49 (1978) (cognizability of trust lands as Indian country under test established by *United States v. Pelican*, 232 U.S. 442, 449 (1914)), or numerous like cases decided by this Court *prior to* the filing of the original complaint in this case on May 29, 1991 (perhaps because the Tax Commission was not a party to those cases), it did not know what the law was, and consequently relied on its own ignorance in waiving an alternative potential defense it now wishes to litigate. That, in itself, is bad enough. Worse is the fact that this Court *had* informed the Tax Commission – *directly*, in a case to which it *was a party* – of the state of the law *three months prior to the filing of the Chickasaw Nation's complaint*.

In the Tax Commission's proffered justification for not earlier raising the Hayden-Cartwright issue, this Court will discover a citation to "*Sac and Fox*, 113 S. Ct. at 1991." *Supra* at 16 (quoting Pet. Br.). This Court *already knows* that the first sentence of the immediately-following paragraph in *Oklahoma Tax Commission v. Sac & Fox Nation*, 113 S.Ct. 1985 (1993) reads: "Nonetheless, in *Oklahoma Tax Comm'n v. Citizen Band Potawatomi Indian Tribe of Okla.* [498 U.S. 505 (1991)], *we rejected precisely the same argument – and from precisely the same litigant.*" 113 S.Ct. at 1991 (emphasis added). *Citizen Band Potawatomi* was handed down on

February 26, 1991, three months *prior* to the filing of the Chickasaw Nation's complaint in this case.¹⁵

In short, the Tax Commission's proffered justification for not raising the issue earlier¹⁶ is literally incredible, and presents no "exceptional circumstances" which should cause this Court to consider its eleventh-hour Hayden-Cartwright contention.

¹⁵ Thus, the Tax Commission would apparently have this Court believe: (1) that it did not *read* this Court's decision in *Citizen Band Potawatomi*, although it was a party to that case; or (2) that it did not *understand* that decision (which may be true in light of its subsequent argumentation in *Sac & Fox*, but does not constitute the *type* of "exceptional circumstances" which should warrant consideration of its new Hayden-Cartwright issue by this Court); or (3) that it had *forgotten* this Court's direct explanation of the "Indian country" principle to it in *Citizen Band Potawatomi* by the time it filed its answer in this case six months later. The only other alternative explanation which the Chickasaw Nation can imagine is that for the *second* time before this Court, see *supra* at 13 & n.13 (discussing the Tax Commission's representation that it "consistently has understood the incidence of the [fuel] tax to fall on the consumer"), the Tax Commission has engaged in a material factual misrepresentation, see generally R. 25 at 8 (citation of *Citizen Band Potawatomi*, and treatment of trust lands as the equivalent of formal reservations, in Tax Commission's February 1992 Brief in Support of Motion for Summary Judgment).

¹⁶ Even taken at face value (though that is virtually impossible to do), this Court's *second* direct explanation of "Indian country" consequences to the Tax Commission (in *Sac & Fox*) was handed down on May 15, 1993, fourteen months *before* the court of appeals rendered its judgment in this case. The Tax Commission's own explanation therefore fails to explain why it failed to raise the Hayden-Cartwright issue in the court of appeals after that date, or why it failed to raise the issue in a petition for rehearing therein, or why it failed to present the issue when it petitioned the court of appeals for a stay, or why it failed to bring the issue to Justice Breyer's attention in its Application for Stay to this Court, or why it failed to raise the issue in its Petition. See generally, e.g., *EEOC v. FLRA*, 476 U.S. 19, 24 (1986) (per curiam) ("[A]t most that might excuse the EEOC's failure to press the claim before the FLRA; it does not excuse the EEOC's failure to raise it at any point in the Court of Appeals.").

III. ABSENT ENACTMENT OF THE PENDING LEGISLATION DISCUSSED IN PROPOSITION I, OKLAHOMA MAY NOT IMPOSE ITS MOTOR FUEL TAX ON ANY FUEL SALES BY THE CHICKASAW NATION WITHIN ITS INDIAN COUNTRY.

A. This Court Has Historically and Consistently Given Great Deference to Courts of Appeals' Interpretations of State Law.

It is this Court's "practice to accept a reasonable construction of state law by the Court of Appeals 'even if an examination of the state-law issue without such guidance might have justified a different conclusion.'" *Haring v. Prosser*, 462 U.S. 306, 314 n.8 (1983). The Tax Commission recognizes as much. See Pet. 22-23; Pet. Br. 35 n.18.¹⁷

B. Powerful Policy Considerations Support Adherence by this Court to its Long-Standing Principle that the Legal Incidence of a State Tax Is Dispositive Where Taxation of an Indian Tribe Regarding Its Indian-Country Activities Is Concerned.

In *California Board of Equalization v. Chemehuevi Indian Tribe*, 474 U.S. 9 (1985), this Court held foursquare that while the legal incidence of a state tax may fall on

¹⁷ The only attempt the Tax Commission makes to qualify the applicability of that principle herein is bizarre. Having strenuously argued that the "federal instrumentality" doctrine is no longer applicable to Indian tribes, Pet. Br. 20-21 (a proposition with which the Chickasaw Nation had already agreed, Br. in Opp. 24), the Tax Commission argues further that "when the determination of a tax's legal incidence affects a federal right to tax immunity, 'the duty rests on this Court to decide [such issues] for itself,'" Pet. Br. 35 n.18 (emphasis added). As authority for that manifestly irrelevant proposition, it offers a case involving an attempted state tax on the federal government, *United States v. Tax Comm'n of Mississippi*, 421 U.S. 599 (1975), and two federal instrumentality cases. See Pet. Br. 35 n.18.

consumers despite the absence of any statutory provision so stating, and despite the absence of any “pass on and collect” provision, the test “is nothing more than a fair interpretation of the statute as written and applied. . . .” *Id.* at 11. The Tenth Circuit has long demonstrated its mastery of the *Chemehuevi* principle. *E.g.*, *Indian Country, U.S.A. v. Oklahoma Tax Commission*, 829 F.2d 967, 984 (10th Cir. 1987), *cert. denied*, 487 U.S. 1218 (1988) (holding that legal incidence of Oklahoma’s sales tax falls “downstream” of retailers, on ultimate consumers, despite absence of any express statutory language so providing).

But *Chemehuevi* does not hold that any state tax involving a retailing Indian tribe is conclusively presumed to be a consumer tax, or that such a tax must be so construed where any ambiguity exists in a complex and lengthy state taxation scheme. Such an interpretation is foreclosed, *inter alia*, by the “fair interpretation” language of *Chemehuevi* itself.

Moreover, neither *Chemehuevi* nor any other decision of this Court supports the Tax Commission’s attempt, *where the issue in question concerns an attempt by a state to tax an Indian tribe regarding its Indian-country activities*, to render the legal incidence of a tax irrelevant (or to marginalize the legal incidence question) based on economic assumptions about whether consumers will “really” bear the “economic burden” of the tax. See Pet. Br. 12-14, 22, 25, 29-31 (so arguing). To be sure, the Chickasaw Nation is well aware of cases such as *Complete Auto Transit, Inc. v. Brady*, 430 U.S. 274 (1977), frequently invoked by the Tax Commission, Pet. Br. 10, 30, 31, in which this Court – in the non-Indian context – has occasionally disregarded the formal nomenclature which a state has applied to a tax. But it has never disregarded the legal incidence of a tax in a case involving the attempted state taxation of an Indian tribe regarding its Indian-country activities.

The Tax Commission’s invocation of *Department of Taxation & Finance v. Milhelm Attea & Bros., Inc.*, 114 S. Ct. 2028 (1994), Pet. Br. 15, 17, 19, 25, 27, 29, does nothing to

undermine that conclusion. The Tax Commission, for example, at one point quotes *Milhelm Attea* for the proposition that "sales to persons other than reservation Indians . . . are legitimately *subject to* state taxation." Pet. Br. 17 (emphasis added). But this Court cited *Colville* for that proposition in *Milhelm Attea*, 114 S. Ct. at 2031, and in *Colville* this Court had determined that the *legal* incidence of the tax in issue was on *consumers*, 447 U.S. at 481-82. Thus, it becomes clear that the real meaning of the passage invoked by the Tax Commission from *Milhelm Attea* is that nonmembers are "subject to" state taxation *when the legal incidence of such taxation is on them*. Extrinsic passages from *Milhelm Attea* reconfirm that conclusion.¹⁸ The *legal* incidence of a tax, in short, is dispositive where state attempts to tax Indian tribes regarding their Indian-country activities are concerned.

That result, the Chickasaw Nation notes, may operate to the benefit of a state as easily as a tribe. In *Moe*, for example, this Court rejected a *tribal* contention that the legal incidence of a state tax was irrelevant since the economic burden of that tax would fall upon the tribe. 425 U.S. at 481-82. Nevertheless, as will be developed further in Proposition III-D, *infra* at 32-38, the fact that the legal incidence of state taxes has been held by this Court to be dispositive works hand-in-glove with the *per se* rule, and is essential to the coherent and predictable operation of that rule.

The Chickasaw Nation has already argued to this Court that the *per se* rule "has been consistently followed, and establishes a bright-line rule which has proved workable in practice," Br. in Opp. 7-8, and is gratified that in that conclusion it is now supported by eleven of the largest Indian-

¹⁸ *E.g.*, 114 S. Ct. at 2034 ("[T]he cigarette tax in *Moe* fell upon a class - non-Indians - whom the State had power to tax."); *id.* at 2035 ("New York's regulations . . . stand[] on a markedly different footing from a tax imposed directly on . . . tribal organizations. . . ."); *id.* at 2037 (emphasis and bracketed material in original) (finding that state had not "impose[d] a . . . tax on Indian retailers").

country states, States' Br. 2 (describing *per se* rule as a "bedrock" principle of Indian law, providing a "reasonably bright-line standard which, from a tax administration perspective, responds to the need for substantial certainty as to the permissible scope of state taxation authority"). Abandonment by this Court of the *legal* incidence precondition to invocation of the *per se* rule would decimate the bright-line nature of that rule.¹⁹

C. "Fairly Interpreted," the Legal Incidence of Oklahoma's Motor Fuel Tax Falls Upon the Retailer of the Fuel – in this Case, the Chickasaw Nation.

1. Oklahoma's motor fuel tax scheme, which places the incidence of the tax on the *retailer* (in this case, the Chickasaw Nation), differs materially from both the fuel tax schemes of other states, see Br. in Opp. 5-6 & n.5, and the cigarette-tax scheme at issue in *Chemehuevi*. Unlike the tax at issue in *Chemehuevi*, see 474 U.S. at 11, Oklahoma's scheme contains no provision making consumers as consumers

¹⁹ Apart from that, abandonment of this Court's approach finding the *legal* incidence of a state tax to be controlling might well cause this Court to reconsider its cigarette-tax holdings in *Moe* and *Colville*, since the tribal parties in those cases argued that though the legal incidence of state taxes there in issue might be elsewhere, the "economic burden" of those taxes would really fall on them. See *Colville*, 447 U.S. at 157-58; *supra* at 21 (discussing *Moe*). While the Chickasaw Nation might economically benefit from such a result (it, too, operates smokeshops), it cannot represent to this Court that such a result would contribute to stability and predictability in the law.

Moreover, abandonment of this Court's legal incidence approach would require the reversal of *Chemehuevi* (and possibly other cases see, e.g., *infra* at 34 (discussing *Cotton Petroleum Corp. v. New Mexico*, 490 U.S. 163 (1989)); cf. *infra* at 25 n.21 (discussing *Gurley v. Rhoden*, 421 U.S. 200 (1975))), or the recognition by this Court that its meticulous legal-incidence reasoning in *Chemehuevi* was an exercise in now-irrelevant futility.

responsible for payment of the tax. To the contrary, Oklahoma law specifically provides that motor fuel taxes are "remitted by a distributor *on behalf of*" retailers, see OKLA. STAT. tit. 68, § 505(C) (Supp. 1994) (emphasis added), and establishes a collection method in which the distributor is "made an *agent of the state*" for the collection of that tax, *id.* § 506(a) (1991). And the "collection" is from *retailers*. *Infra* at 23-24 n.20, 26 n.22 (discussing § 505(C), and structural implications of the Tax Commission's interpretation of that provision); OKLA. STAT. tit. 68, § 505(E) (Supp. 1994) (emphasis added) (Any *retailer or dealer . . . shall . . . pay to the distributor, for the benefit of the state, all taxes due on diesel fuel . . . or may procure a distributor's license. . . .*");²⁰ *id.* § 507 (providing

²⁰ The Tax Commission's attempt to limit the implications of OKLA. STAT. tit. 68, §§ 505(C), 505(E) (Supp. 1994), see Pet. Br. 38, is unavailing. This Court will discover that the Tax Commission has not *quite* presented an "unabridged version," Pet. Br. 38, of the "relevant portion," *id.*, of that provision. Rather, the Tax Commission, omitting reference to the second paragraph of § 505(C), begins its quotation with the sentence which follows, substituting "[for]" for "of" in that sentence.

More fundamentally, apparently concluding that the paragraph immediately preceding the sentence which it quotes does not constitute a "relevant portion of Section 505C," see Pet. Br. 38, the Tax Commission fails to note that that paragraph, unabridged, provides:

It shall be unlawful for any distributor, *retailer or dealer* to sell or offer for sale in this state, motor fuel or diesel fuel while delinquent in the payment of any excise tax due the state.

OKLA. STAT. tit. 68, § 505(C) (Supp. 1994) (emphasis added). Nowhere in the elaborate statutory scheme is any provision precluding the use of untaxed gasoline by consumers, or imposing tax-payment obligations on them, to be found. *Cf. infra* at 27 (describing such provisions in Oklahoma's *cigarette-tax* scheme). In light of the second paragraph of § 505(C), which provides the *context* in which the immediately-following sentence (quoted by the Tax Commission) must be read, its argument actually backfires in two ways.

First, while the Tax Commission would have this Court believe that § 505(C) creates a "class of cases in which retailers do not play any role in paying or collecting the tax," Pet. Br. 38, in reality the reverse is true: the second paragraph of § 505(C) makes clear that while *consumers* have no

that purchases from distributors *from other distributors* are not subject to the tax). Distributors are effectively paid a 2½% commission for acting as state agents in the process of collecting the tax. *See, e.g., id.* §§ 502, 502.1, 506(a), 522.1.

Again unlike the cigarette-tax scheme at issue in *Chemehuevi*, the Oklahoma fuel-tax scheme exempts the *distributor* from any obligation to remit to the state fuel taxes that are determined to be “uncollectible *by the distributor*,” *id.* § 505(C) (emphasis added). In short, distributors, as agents of the state, *id.* § 506(a), collect fuel taxes from retailers, on whom Oklahoma’s statutory scheme imposes a legal obligation to pay, *supra* at 23 & n.20 (citing statutes). Neither consumers nor distributors have any *independent* obligation to pay, evidenced in the former case by the absence of any

obligation to pay, *retailers (or dealers) do*. As an ancillary matter, that paragraph also reveals as misleading the Tax Commission’s observation that § 505(E), which also requires retailers or dealers to “pay” (either to distributors, or to the state directly upon procurement of a distributor’s license), “contains no enforcement mechanism,” *see* Pet. Br. 38 n.20. While that statement is literally true, it – along with § 505(C) – establishes a *legal obligation* to pay, and the Tax Commission has methods not contained in § 505(E) for the collection of taxes unlawfully withheld, *see, e.g.,* OKLA. STAT. tit. 68, §§ 103, 105, 202(b), 203, 206, 212, 215, 231, 231.2, 234, 252, 253, 254, 260, 505(F), 514(e) (1991 & Supp. 1994). *See generally infra* at 26 n.22 (describing absurd consequences flowing from Tax Commission’s interpretations of §§ 505(C) and 505(E)); *supra* at 23-24 (discussing limited “collection agent” duties of distributors); *infra* at 26 n.23 (same).

Second, if the Tax Commission intends by its italicization of “*collected on behalf of a nonlicensed purchaser*,” Pet. Br. 38, to equate “nonlicensed purchasers” with consumers, then even ignoring all prior argumentation in this footnote, by the Tax Commission’s own logic, consumers, no less than retailers, must be within the “class” which does “not play any role in paying or collecting the tax,” *see* Pet. Br. 38. That conclusion, in turn, would decimate the Tax Commission’s own “incidence is on consumers” argument, which it argued exclusively in the Petition, Pet. at 20-23, and which save for a single paragraph, Pet. Br. 39, it now argues exclusively to this Court, *id.* at 33-38.

provision imposing payment obligations on consumers or forbidding the use of untaxed gasoline, and in the latter one by the acknowledgment that since distributors are only collection agents, they may not be required to pay taxes *they* do not owe (but have been unable to *collect* from retailers), OKLA. STAT. tit. 68, § 505(C) (Supp. 1994). On these facts, *Gurley v. Rhoden*, 421 U.S. 200 (1975), invoked by the Tax Commission, Pet. Br. 39, is indeed relevant to this litigation – but not in the manner it asserts.

In its *Gurley* argument (in which it maintains in the alternative that the legal incidence of Oklahoma's fuel tax is on *wholesale distributors*), Pet. Br. 39, the Tax Commission blithely assumes that "distributors" under Oklahoma's fuel-tax scheme and "producers" under the United States' fuel-tax scheme are similarly situated for purposes of applying *Gurley's* approach to "uncollectibility" provisions. (That approach, as this Court well knows, found the fact the United States could not collect its fuel tax from a producer's *vendees* in the event of producer nonpayment persuasive in concluding that the legal incidence of the fuel tax was on producers. 421 U.S. at 205-06.)²¹ But in the sentence in *Gurley* which immediately precedes the one the Tax Commission quotes, *compare* 421 U.S. at 205 *with* Pet. Br. 39, this Court had found that "the congressional purpose to lay the tax on the 'producer' and *only* upon the 'producer' could not be more plainly revealed." *Gurley*, 421 U.S. at 205 (emphasis added). By contrast, since the Oklahoma statute exempts (and the due process clause of the fourteenth amendment might well forbid) collection of a tax *from* Oklahoma fuel distributors (other than as collection agents) when the legal obligation for that

²¹ The Tax Commission also invokes *Gurley* in support of the proposition that even where the legal incidence lies elsewhere, fuel taxes may ultimately be passed on to the consumer at the pump, Pet. Br. 12, but fails to note that in the two sentences immediately following the sentence which it quotes, *this Court held that fact to be irrelevant to the dispositive legal-incidence question*, 421 U.S. at 204.

tax is imposed on retailers, *supra* at 23-24 & n.20 (citing statutes); *infra* at 26 n.23 (same), Oklahoma distributors are not similarly situated with the "producers" at issue in *Gurley*. Rather, the relevant analogies are between Oklahoma *consumers* and the *vendees* of producers in *Gurley* (since neither has an obligation to pay), and between Oklahoma *retailers* and *producers* in *Gurley* (since both such entities *do*).²² Thus, the *Gurley* Court's conclusion that the "uncollectibility" consequences inherent in the United States' fuel-tax scheme, *Gurley*, 421 U.S. at 205-06, reinforced its conclusion that the legal incidence of that tax was on producers, *id.* at 205, operates *mutatis mutandis* to reinforce the Chickasaw Nation's (and the court of appeals') conclusion that the legal incidence of Oklahoma's fuel tax is on *retailers*. Rather than providing support to the Tax Commission's "nonpayment" analysis, *Gurley*, properly applied, is devastating to its "incidence of the fuel tax" contention – *whichever* way the Tax Commission argues it.²³

²² Implicit (and perhaps explicit, see Pet. Br. 38 n.20) in the Tax Commission's argument is the absurd proposition that the Oklahoma legislature, having imposed no penalty on consumers' use of untaxed fuel, and having relieved distributors of any obligation to replace any taxes lost to the state due to failure of retailers to pay them, provided the Tax Commission with no mechanism for collecting such taxes from retailers, so that *no one* really has to pay the fuel tax, with life presumably passing merrily on. But the statutory arsenal available to the Tax Commission for nonpayment by *retailers* is extensive, *e.g.*, *supra* at 24 n.20 (citing statutes), but is utterly barren regarding consumers and distributors (except as to taxes paid to the latter – presumably voluntarily – by retailers, see OKLA. STAT. tit. 68, § 506(b) (1991)).

²³ Moreover, even apart from structure, *supra* at 26 n.22, other statutory provisions, *supra* at 23-24, and *Gurley*, OKLA. STAT. tit. 68, §§ 506(a), (b) (1991) are independently fatal to the Tax Commission's alternative "incidence is on the wholesaler" contention. Those provisions add further context to *id.* § 505(C)'s distributor-agent characterization, in the former case, both by reiterating and providing a consideration for the distributor's agency duties, *id.* § 506(a), and in the latter one, by making clear that any breach of trust in fulfilling those agency duties subjects the

Demonstrating that the Oklahoma legislature knows how to impose consumer taxes *where it wants to* are the similarity of Oklahoma's cigarette tax to the California cigarette tax at issue in *Chemehuevi* – and the *dissimilarity* of Oklahoma's cigarette and fuel-tax schemes. Oklahoma's cigarette-tax scheme, for example, provides that there is "hereby levied upon the *sale, use, gift, possession, or consumption* of cigarettes within the State of Oklahoma a tax. . . ." OKLA. STAT. tit. 68, § 302 (Supp. 1994) (emphasis added). Its fuel-tax scheme, as noted above, contains no similar language. Rather, Oklahoma law simply taxes the fuel when it is first sold by the distributor to the retail vendor. *E.g., id.* §§ 502, 505(B), 507 (1991 & Supp. 1994). Moreover, Oklahoma's cigarette-tax statutes make it a criminal offense for "*any person* to . . . have in his *possession* . . . cigarettes on which the tax . . . has not been paid." *Id.* § 306 (1991) (emphasis added). But as also noted above, there is no analogous provision in the state's motor fuel tax scheme.

2. Petitioner attempts to avoid the obvious conclusion – that the tax is a retailer tax – by objections essentially of two types.

Petitioner's first category of argumentation is semantic. Tearing two clauses from the twenty-two page legislative scheme, Petitioner notes that OKLA. STAT. tit. 68, § 501(C) (Supp. 1994) states that "nothing . . . shall require a distributor, dealer *or retailer* to *collect*" the tax in certain circumstances, *id.* (emphasis added), Pet. Br. 35,²⁴ and that *id.*

distributor to penalties not for tax evasion, but for *embezzlement*, *id.* § 506(b).

²⁴ In a misleading paragraph immediately following the paragraph in which it quotes § 501(C), and which addresses the same point as its § 501(C) argument, the Tax Commission states that the exemptions established by

Okla. Stat., Tit 68, §§ 501B, 502.2B, 502.3B, 502.4B, 502.5B, 502.6B, 502.7B, 522(d) . . . relieve the *consumer* of the obligation to pay the tax and are passed *up* the distribution chain to

§ 509(A) (Supp. 1994)²⁵ exempts farmers from “paying” a portion of the tax, Pet. Br. 36. As to § 501(C), the Chickasaw Nation notes initially that that provision is phrased in the negative, as merely a disclaimer (“[n]othing in this section shall require . . .”), forcing the Tax Commission to rely upon the manifestly incorrect, *supra* at 24-25, 27, *implication* that *elsewhere* in the fuel-tax scheme is to be found a provision

the retailer and then to the distributor. Thus, Section 501B (emphasis added) – again, a definitional provision of the statute – provides that “[p]urchasers of nontaxable diesel fuel must comply with the provisions of Section 509 [of this title] *in order to avoid the taxes* levied by Sections 502.1 and 522.1 [of this title].”

Pet. Br. 36 (emphasis and bracketed material in original).

The sequence of that paragraph – as well as the Tax Commission’s italicization – might lead this Court to initially conclude that *all eight* of the statutory provisions which it invokes contain language similar to the language it quotes from § 501(B). *That is not the case.* OKLA. STAT. tit. 68, § 522(d) (Supp. 1994) merely states that “[t]he only exemptions from the tax hereby levied are as follows . . .,” and *id.* §§ 502.2(B), 502.3(B), 502.4(B), 502.5(B), 502.6(B), and 502.7(B) (Supp. 1994), all provide, in identical language, that certain fuels “shall be exempt from the tax levied pursuant to the provisions of this section.” Thus, every one of those provisions is subject to analysis identical to the Chickasaw Nation’s analysis of various other “exemptions” within the statutory scheme, see *infra* at 30-31. And while the Tax Commission quotes a *portion* of § 501(B) correctly, it fails to note that the sentence which immediately follows the sentence which it quotes – and which is equally “definitional” – further provides that “[a]ny *distributor* failing to remit all taxes due” shall be subject to various penalties, *id.* (emphasis added). Not only does the distributor “collect” from the retailer, *supra* at 23-24 & n.20, but the juxtaposition of those two sentences in § 501(B) makes that provision subject to analysis identical to that presented by the Chickasaw Nation regarding § 509.2(C), see *infra* at 30 n.27.

²⁵ Having mis-cited this provision as “§ 509(b)” in its Petition, Pet. 21, the Tax Commission persists in mis-citing it as “Section 509B” in its Brief-in-Chief, Pet. Br. 36, though the Chickasaw Nation noted earlier that former § 509(b) was redesignated § 509(A) when the state’s fuel tax statutes were amended in 1993, Br. in Opp. 19 n.11.

requiring "collection" from consumers. Such a provision, however, is nowhere to be found.

To be sure, with respect to both provisions, it would undoubtedly have been more precise from the perspective of the *totality* of the fuel-tax scheme to have made clear, as do, for example, OKLA. STAT. tit. 68, §§ 505(C), 505(E) (Supp. 1994) (and which are phrased *affirmatively*, requiring no implication at all), that the distributor "collects" from the retailer, and that in light of that fact, distributors are exempted from any obligation to collect taxes *from retailers* where the ultimate purchaser is a farmer. Most other states have framed their exemption and/or refund provisions with greater clarity. *See, e.g.*, MONT. CODE ANN. § 15-70-221(1) (1994) (emphasis added) (allowing certain refunds of "amount of tax paid *directly or indirectly* on the gasoline"). But as the Tenth Circuit (which has been interpreting Oklahoma statutes since shortly after statehood) was well aware, colloquialisms²⁶ such as the above often occur in the state's statutory language, and among the things that *Chemehuevi* does not hold is that courts construing state taxation schemes must construe them as consumer taxes where two clauses in a

²⁶ The Chickasaw Nation is well aware of the importance of literal text in such matters before this Court. Nevertheless, aware also that "it requires some ingenuity to create ambiguity," *Rothschild v. United States*, 179 U.S. 463, 465 (1900), the Tribe points out that text cannot be read in isolation from structure, *see generally supra* at 23-24 n.20, 26 n.22 (discussing implications of Tax Commission's interpretations of § 505(C) on structure of fuel-tax scheme as a whole), and that even as a wholly textual matter, the Tax Commission's proffered construction both utterly ignores numerous *other* textual provisions and relies on an incorrect inference from the "disclaimer" language in § 505(C) (while the Chickasaw Nation relies on affirmative textual statements). Even utterly ignoring the structural implications, and assuming *arguendo* that the language the Tax Commission cites creates *de minimis* ambiguity at the margins, it certainly does no more than that, consequently failing to establish that the court of appeals' conclusion was unreasonable. *Cf. supra* at 19 (describing this Court's deference to courts of appeals in state-law matters); *Chemehuevi*, 474 U.S. at 13-14 (Stevens, J., dissenting) (same).

twenty-two page statute create any ambiguity whatsoever. Rather, it simply requires courts to engage in "fair interpretation of the taxing statute," *Chemehuevi*, 474 U.S. at 11, and that is precisely what the Tenth Circuit, long familiar with Oklahoma law, did.

The Tax Commission's second category of argumentation focuses on the exemptions and refunds provided for in the Oklahoma fuel tax scheme. Along this line, it invokes OKLA. STAT. tit. 68, §§ 509.2(A), 509.2(C),²⁷ 509.2(E), 509.2(F), and 527 (Supp. 1994) for the proposition that the "exemptions" established by those provisions demonstrate that the motor fuel tax scheme creates a consumer tax. Pet. Br. 36-37. Three defects are present in that line of argumentation.

First, the argument proves too much. Every fuel-tax scheme researched by the Chickasaw Nation, see Br. in Opp. 5-6 n.5 (discussing schemes of largest Indian-country states), contains exemptions (or provides for refunds) of some type. *E.g.*, ARIZ. REV. STAT. ANN. § 28-1520 (West Supp. 1994); CAL. REV. & TAX. CODE ANN. § 7401 (West Supp. 1994). Most likely, the fuel tax schemes of each of the fifty states so provides. Yet many of those states – as a matter of state law – characterize their own fuel-tax schemes as wholesaler, not consumer taxes. Br. in Opp. 5-6 n.5. Clearly, among the

²⁷ Petitioner also more specifically contends that the "fraudulent exemption-permit user" provision of OKLA. STAT. tit. 68, § 509.2(C) (Supp. 1994) renders Oklahoma's tax a consumer tax. Pet. Br. 36. But the paragraph immediately preceding the paragraph Petitioner cites simultaneously provides that *dealers* placing diesel fuel in the tanks of such fraudulent permit users are *themselves* liable for payment of the tax. The second paragraph of § 509.2(C) no more converts the entirety of the fuel tax scheme into a consumer tax than the first paragraph of that provision conclusively establishes that the scheme is ipso facto a *retailer* tax. By Petitioner's reasoning, for example, S.D. CODIFIED LAWS ANN. § 10-47A-23 (1989), which imposes personal liability on the officers of corporations which have failed to pay applicable fuel taxes, would ipso facto convert the South Dakota scheme into a tax whose legal incidence falls on corporate officers.

numerous propositions that *Chemehuevi* does *not* support is that federal law recharacterizes such taxes as consumer taxes irrespective of a state's characterization of its own taxation scheme. *Supra* at 19 n.17.

Second, Respondent notes that OKLA. STAT. tit. 68, §§ 509.2(A), 509.2(C), 509.2(E), 509.2(F), and 527 (Supp. 1994), all but the last of which were first enacted in 1993, do not replicate the colloquial language of *id.* §§ 501(C) and 509(A) discussed above, *see supra* at 27-29.

Third, this Court, in *Gurley*, expressly rejected a contention identical to the Tax Commission's "exemptions" argument. Recognizing that the federal fuel tax scheme exempts farm-use gasoline from its sweep, 26 U.S.C. § 6420(a) (1988), (federal statutes exempt gasoline to be used for other purposes as well, *id.* §§ 6421(a), 6421(b)), the *Gurley* Court nevertheless held that "*this is not proof that Congress laid the tax on the ultimate consumer,*" 421 U.S. at 206 (emphasis added), but simply reflects an extrinsic policy choice, *id.*

3. The statutory modifications now pending before the Oklahoma legislature, *infra* at 1a-23a, would squarely place the legal incidence of the state's fuel tax on ultimate consumers, and Proposition I in this brief addresses the consequences of its adoption, *supra* at 10-13. *But should that legislation be rejected*, the Chickasaw Nation respectfully submits that in light of that legislature's awareness of the court of appeals' decision below (and the central position of the "legal incidence" question before this Court), such a decision would further support a proposition advanced by the Chickasaw Nation earlier in this litigation: that the state's legislature intends "for the incidence of the tax to fall on the fuel retailer for reasons wholly unrelated to the Indian-law issues presented by the instant case," Br. in Opp. 6-7. *See generally, e.g., Youngstown Sheet & Tube Co. v. Sawyer*, 343 U.S. 579, 586 (1952) (drawing inference of intent from legislative rejection of on-point legislative proposal).

In sum, Petitioner's new argument that the legal incidence of the fuel tax is on consumers is as incorrect as the opposite argument it pursued for the three years before this case reached this Court, and may well, if accepted, generate absurd consequences in the application of that taxation scheme, *see supra* at 26 n.22. The court of appeals, "fairly interpreting" Oklahoma's complex and lengthy scheme *as a whole*, not only applied the correct standard, but correctly determined that the legal incidence of the state's fuel tax falls on retailers.

D. This Court Should Maintain Its Adherence to the *Per Se* Rule Precluding the Imposition of State Taxes on Indian Tribes Regarding Their Activities Within Indian Country.

In *California v. Cabazon Band of Mission Indians*, 480 U.S. 202 (1987), this Court stated unequivocally:

In the special area of state taxation of Indian tribes and tribal members, we have adopted a per se rule. In Montana v. Blackfoot Tribe, 471 U.S. 759 (1985), we held that Montana could not tax the tribe's royalty interest in oil and gas leases issued to non-Indian lessees. . . . We stated: "In keeping with its plenary authority over Indian affairs, Congress can authorize the imposition of state taxes on Indian tribes and individual Indians. It has not done so often, and the Court consistently has held that it will find the Indians' exemption from state taxes lifted only when Congress has made its intention to do so unmistakably clear." . . . Accordingly, it is unnecessary to rebalance . . . interests in every case.

Id. at 215 n.17 (emphasis added); *see also County of Yakima v. Yakima Indian Nation*, 502 U.S. 251, 267 (1992) (citation omitted) ("Balancing of interests is not the appropriate gauge . . . since it is that very balancing which we have reserved to Congress.").

One proposition which is unmistakably clear as a consequence of the above is that *assertions of state taxation jurisdiction over the activities of Indian tribes in Indian country are tested by a standard of judicial review which is different from the standard applicable to assertions of state regulatory jurisdiction (or applications of state taxation jurisdiction to nonmembers) in like circumstances*. In the former case, a *per se* rule precludes *taxation* of tribal activities absent congressional consent; in the latter, *state regulation* (or *taxation of nonmembers*) may be permissible (absent "normal" preemption) pursuant to application of the "infringement" principle or the "preemption/balancing"²⁸ test. The Tax Commission mounts a three-pronged attack on that result.

1. First, seizing upon every instance known to the Chickasaw Nation in which this Court substituted "presumption" for "*per se* rule" (or added the word "generally" to its formulation), Pet. Br. 19-20, the Tax Commission attempts to persuade this Court that the *per se* rule is not a *per se* rule at all, but rather a "presumption" which is rebuttable *upon a showing by the state that its interests outbalance the interests of the Tribe*, see *id.* at 14-18. Its argument, however, is too clever by half: how the Tax Commission can simultaneously argue that proposition and maintain that *it agrees*, *id.* at 21,

²⁸ As this Court is well aware, "normal" statutory (or treaty) "preemption," see generally U.S. CONST. art. VI, cl. 2 (supremacy clause); *Louisiana Pub. Serv. Comm'n v. FCC*, 476 U.S. 355, 368-69 (1986) (discussing "normal" preemption), and the "preemption/balancing" test which evolved from *McClanahan v. Arizona State Tax Comm'n*, 411 U.S. 164, 172-73 (1973), see, e.g., *Cabazon Band*, 480 U.S. at 216-21, and which requires the balancing of federal, tribal, and state interests, *White Mountain Apache Tribe v. Bracker*, 448 U.S. 136, 145 (1980), are two very different things. *New Mexico v. Mescalero Apache Tribe*, 462 U.S. 324, 333-34 (1983) ("Although a State will certainly be without jurisdiction if its authority is pre-empted under familiar principles of pre-emption, we cautioned that our prior cases did not limit pre-emption of state laws affecting Indian tribes to only those circumstances.").

with this Court's statement that "it is unnecessary to rebalance . . . interests in every case," *id.* (quoting *Cabazon Band*), is a paradox that perhaps only the Tax Commission can resolve.²⁹

Moreover, the Tax Commission would apparently have this Court "rebalance" interests only where a *state* attempts to convince a court that its interests are exceptionally weighty. Where a *tribe's* interests are comparably weighty, the Tax Commission is perfectly satisfied to leave the *per se* rule just the way it is. Pet. Br. 22 (quoting *Cotton Petroleum Corp. v. New Mexico*, 490 U.S. 163 (1989)) ("[A] state tax is not invalid simply because it affects the tribal treasury . . . even where 'the economic impact' on the Tribe 'is particularly severe.'").

Thus does the Tax Commission's proffered formulation collapse into incoherence. But this Court's own interpretations of the *per se* rule demonstrate what the "presumption" really is: a presumption rebuttable *only* by a showing that Congress has by statute abrogated the tribal immunity, and "has made its intention to do so unmistakably clear." *Cabazon Band*, 480 U.S. at 215 n.17 (emphasis added);³⁰ see also,

²⁹ Nor is the Tax Commission's attempt to engraft the "compelling state interest" component of strict scrutiny, Pet. Br. 22, availing in any attempt to resolve the enigma. That approach, which would require courts to do no more than evaluate and *characterize* the magnitude of state (but apparently not tribal, see *infra* at 34) interests in applying the balancing test, would amount to no more than balancing with a "finger on the scale." Compare Pet. Br. 22 with, e.g., *Pike v. Bruce Church, Inc.*, 397 U.S. 137, 142 (1970) (factoring into otherwise-apposite dormant commerce clause balancing test the degree to which state interests "could be promoted as well with a lesser impact on interstate activities").

³⁰ While the Chickasaw Nation has earlier established that the Hayden-Cartwright issue is not properly before this Court, *supra* at 15-18, and has consequently not briefed that issue, even the most cursory examination of that statute, 4 U.S.C. § 104, reveals that it is anything but an "unmistakably clear" expression of congressional intent to abrogate the tribal immunity discussed in the instant subsection of this brief.

e.g., *supra* at 20-21 & n.18 (discussing *Milhelm Attea*); Br. in Opp. 23-24 (citing caselaw).

2. Second, the Tax Commission attempts to persuade this Court that "preemption/balancing" is the standard of review applicable herein by citation to numerous of this Court's cases in which it unsurprisingly applied that test to attempted exercises of state *regulatory* jurisdiction in Indian country, or to state attempts to tax entities *other than* tribes or tribal members regarding their Indian-country activities. See Pet. Br. 15-17. (Such entities, of course, are not protected by the *per se* rule in any case.)³¹ This Court will quickly discover that of the thirteen cases the Tax Commission invokes to support the applicability of "preemption/balancing" herein, *id.*, only one – *McClanahan v. Arizona State Tax Commission*, 411 U.S. 164 (1973) – involved a state attempt to tax the Indian-country activities of tribes or tribal members, and the *McClanahan* Court *unanimously invoked and applied the per se rule. Id.* at 170-71.

3. Third, the Tax Commission attempts to dismiss this Court's *Cabazon Band* formulation of the *per se* rule as dictum, Pet. Br. 21 n.8, expressing a preference for its *McClanahan* formulation (which was limited to taxes on Indian lands or income), *id.* at 20. Any broader consequences of the *per se* rule, it explains, must have been terminated with the demise of *Worcester v. Georgia*, 31 U.S. (6 Pet.) 515 (1832), and the "federal instrumentality" doctrine. Pet. Br. 20-21. But the Tax Commission's attempt to create a limiting linkage between the sweep of the modern *per se* rule and the

³¹ The Chickasaw Nation has earlier noted that "Indian traders" enjoy an analogous immunity, *see* Br. in Opp. 15 n.10, but in those cases the immunity is the result of "normal" preemption, e.g., *Central Machinery Co. v. Arizona State Tax Comm'n*, 448 U.S. 160, 165 (1980) ("It is the existence of the Indian trader statutes . . . that preempts the field of transactions with Indians occurring on reservations."), and not the *per se* rule.

scope of rule as it existed during the federal instrumentality period *has been expressly rejected by this Court.*

In *McClanahan*, for example, this Court was well aware that the federal instrumentality doctrine had already been "sharply limited with respect to Indians," 411 U.S. at 170 n.5, but applied the *per se* rule to state taxation of individual Indians despite the fact that it simultaneously recognized that the federal instrumentality doctrine "may well be inapplicable in a case such as this involving an individual income tax," *id.* at 169-70.³² In short, while its roots were established during the federal instrumentality period, the modern *per se* rule has a sweep far broader than that appurtenant to the former federal-instrumentality rule. In addition to *McClanahan*, this Court's still-more-recent jurisprudence continues to confirm that fact. *E.g.*, *Bryan v. Itasca County*, 426 U.S. 373, 377 (1976) (applying *per se* rule to state personal property tax); *Moe*, 425 U.S. at 475-80 (applying *per se* rule to state personal property and vendor license taxes).³³ As the following paragraphs indicate, there are excellent reasons for that result.

³² Rosalind McClanahan, the Appellant in *McClanahan*, made no allegation that the income in question was derived from employment by the Tribe. *E.g.*, Brief for Appellant at 5, *McClanahan*, 411 U.S. 164 (No. 71-834). Compare *id.* with, *e.g.*, *Dobbins v. Commissioners of Erie County*, 41 U.S. (16 Pet.) 435 (1842) (invalidating state tax on income of employee of the federal government).

³³ In *Moe*, it may be noted, this Court also expressly rejected a state contention similar to one proffered by the Tax Commission, compare *Moe*, 425 U.S. at 476 with Pet. Br. 27 ("[I]t is the existence of state-funded public highways that makes possible the Tribe's sale of fuel. . . ."), which maintained that the provision of state services to tribes or their members affected the applicability of the *per se* rule to state taxes challenged therein, *Moe* 425 U.S. at 476. As was the case with the Salish and Kootenai Tribes, the federal government also makes substantial payments to Respondent, and as the facts of this case, inter alia, indicate, the Chickasaw Nation's own income contributes significantly to its economic well-being.

On a related matter, the Tax Commission correctly notes that at the commencement of this litigation in 1991, the parties stipulated that "the Tribe does not construct or maintain roads or highways for the use of the

4. It should require no citation of authority for this Court to take notice of the fact that the Indian-law field is one of the most complex areas of American law. And while the Chickasaw Nation vigorously maintains that the century-and-a-quarter-old, *see* Pet. Br. 20 (citing cases), *per se* rule is "settled right," both this Court and its Justices have often invoked the principle that "in most matters it is more important that the applicable rule of law be settled than that it be settled right." *E.g.*, *Burnet v. Coronado Oil & Gas Co.*, 285 U.S. 393, 406 (1932) (Brandeis, J., dissenting). The Indian-law field, replete with federal-common-law and quasi-constitutional principles (and a sporadic overlay of federal statutes), is laden with arcane subtleties, and presents a more patent need for predictability than many if not most other areas of law. The *per se* rule component of the Indian-law field is settled. *Supra* at 32-36; States' Br. 1-2.

Even the Tax Commission has purported to be concerned with predictability in the state-taxation arena, Pet. 8; Pet. Br. 30, and eleven of the largest Indian-country states have found

general public in Oklahoma," Pet. Br. 28, going on to assert that the state expends about \$300 million of its own fuel-tax funds in such endeavors, *id.* The Chickasaw Nation accepts the latter assertion, and the former stipulation was correct when it was entered into in 1991 (though the *Bureau of Indian Affairs* expended substantial revenues toward such projects even then). But in the ensuing four years *since* 1991, the Chickasaw Nation has now contracted with the BIA for *its own* road and bridge construction and maintenance projects, *e.g.*, CONTRACT No. CT G03 T 906 11 (FY 1994), Amendment 94-1 (Bureau of Indian Affairs-Chickasaw Nation) (May 20, 1994) (lodged with this Court), and such funds are employed to "match" state and county revenues for public roads. Other Oklahoma tribes have done likewise. *See, e.g.*, *Road Improvements Being Accomplished, Thanks to Choctaw Nation*, BISHINK (Durant, Oklahoma), February 1995, at 1, 6 (describing Choctaw road projects totalling over \$13 million). Moreover, the tribal legislation which established the Chickasaw Nation's equivalent motor fuel tax, *see supra* at 8, expressly authorizes the expenditure of such revenues for cooperative road (and other) projects with state and local governments, CHICKASAW NATION CODE, tit. 10, § 10- 605 (1994), *reprinted in* Resp. to Applic. for Stay App. A (No. A-227), at 2.

the *per se* rule to "provide a reasonably bright-line standard," States' Br. 2, lessening the need to engage in "time- and resource-consuming litigation," *id.* at 1. Nor do those states suggest that the settled rule is unfair, or that it derived from badly-reasoned case law, or that it is otherwise unworkable. For those reasons *alone*, the Chickasaw Nation respectfully submits that the rule should be left alone. *See generally County of Yakima*, 502 U.S. at 268 ("For reasons of practicality, as well as text, we adhere to our *per se* approach.").

5. But there is yet another reason why the *per se* rule should not be abandoned: this Court has long been reluctant to abandon its own articulated doctrines in nonconstitutional matters remediable by Congress upon a perception by that body that the settled rule was or was becoming unsatisfactory. *E.g.*, *Citizen Band Potawatomi*, 498 U.S. at 510. Congress has been aware of the *Cabazon Band* formulation of the *per se* rule since 1987, aware of the *Blackfeet Tribe* formulation for a decade, aware of *Moe's* "legal incidence of the tax" approach for two, and aware of the former consequences of applying "federal instrumentality" analysis to Indian tribes since shortly after the Civil War, but has not acted to reverse the "presumption," see *supra* at 33-35, established by that rule. Moreover, the "available congressional remedy" analysis is taken to new heights in the instant case, in which the *Oklahoma* legislature can (and may well, see *supra* at 10-12) remedy any detrimental consequences of the *per se* rule which it perceives, *without any help from this Court*.³⁴

³⁴ The Tax Commission's protestations concerning the inadequacy of that remedy, see Pet. Br. 30, need not long detain this Court. First, the Chickasaw Nation has already researched the fuel-tax schemes of the twelve largest Indian-country states, and all save Oklahoma *already* impose the legal incidence of such taxes either on wholesalers or consumers. Br. in Opp. 5-6 n.5. Thus, tribal sovereign immunity presents no problem to those states, four of whom, it may be noted, have appeared in this litigation in part to *defend* the continued vitality of the *per se* rule, States' Br. 1-3. Seven *other* states with large amounts of Indian country or

E. Since the "Preemption/Balancing" Test Is Inapposite to State Attempts to Apply Taxation Jurisdiction to Indian Tribes, the Tax Commission's Argumentation Under that Test Is Irrelevant.

The Tax Commission, unsatisfied with the consequences of applying the *per se* rule to its motor fuel tax, devotes twenty-one pages of its twenty-eight page fuel-tax argument to defending the applicability of the preemption/balancing test herein, and applying that test to its motor fuel tax.³⁵ Compare Pet. Br. 12-23, 25-33 (arguing relevance of or attempting to apply preemption/balancing test) with *id.* at 12-39 (entirety of Tax Commission's fuel-tax argument). But since that argumentation is pursuant to an inapplicable standard of review, it collapses along with the Tax Commission's contention that this Court should apply the preemption/balancing test to its motor fuel tax. That conclusion, in turn, leads to a further one, which may streamline analysis herein: *two-thirds of the Tax Commission's Brief-in-Chief, see Pet. Br. 12-33 (excluding its Statement and Summary, id. at 1-11), is irrelevant to the disposition of this case.*

large numbers of tribal members have also taken the same position. *Id.* Second, the Tax Commission's speculation that tribes might become fuel distributors is not only speculative but irrelevant, since imposing the legal incidence of fuel taxes on consumers would solve that problem as well. And third, while Oklahoma's \$16,000 per month loss during the last several months, *see Resp. to Applic. for Stay* 18 (No. A-227), (out of total revenues exceeding \$1 billion, *id.* App. C), is permanent due to tribal sovereign immunity, Oklahoma could truncate such losses (with respect to sales to nonmembers) *tomorrow morning* by adopting the legislation discussed *supra* in Proposition I.

³⁵ The residuum of the Tax Commission's fuel-tax argument consists of its eleventh-hour, three-paragraph Hayden-Cartwright contention, Pet. Br. 23-24; and its contention that the legal incidence of its fuel tax falls on consumers (or wholesalers), *id.* at 33-39. Only the last of these contentions is relevant to the dispute now before this Court. *Supra* at 15-18; *infra* at 39.

F. Irrespective of Where the Legal Incidence of Oklahoma's Motor Fuel Tax Falls, this Court Has Long Adhered to a Principle Precluding State Taxation on Indian-Country Sales to Tribal Members.

This Court's *per se* rule applies not only to Indian-country activities of tribes, but to such activities of tribal members as well. *E.g.*, *Cabazon Band*, 480 U.S. at 215 n.17. Pursuant to that approach, numerous decisions of this Court, including its series of "smokeshop" decisions, have rejected state attempts to tax purchases of goods by members in Indian country even where the legal incidence of the apposite state tax fell on ultimate consumers. *E.g.*, *Colville*, 447 U.S. at 158; *Moe*, 425 U.S. at 475-81. Conspicuously absent from those decisions is any requirement that the goods be consumed (or, for that matter, that the tax-exempt income be spent, see *McClanahan*, 411 U.S. 164), in Indian country.

The Tax Commission attempts to distinguish *Moe* and *Colville* in three paragraphs, Pet. Br. 32-33, and the Chickasaw Nation will give separate attention to each. Its first re-invokes its Hayden-Cartwright contention, which the Chickasaw Nation has noted earlier is not properly before this Court, *supra* at 15-18. Its second, as that paragraph's sole citations to the "preemption/balancing" section of the Tax Commission's own brief and *Rice v. Rehner*, 463 U.S. 713 (1983), Pet. Br. 32, indicate,³⁶ attempts to re-invoke and apply the manifestly inapplicable, *supra* at 32-38, preemption/balancing test.

The final paragraph of the Tax Commission's argument regarding tribal members, see Pet. Br. 33, maintains that "[i]n both *Sac and Fox* and *Colville*, the Court suggested," *id.*

³⁶ As this Court well knows, *Rice* was a state *regulatory* jurisdiction case, 463 U.S. at 715, in which this Court applied both "normal" preemption and the "preemption/balancing" test, *id.* at 719-35. See generally *supra* at 33 (acknowledging applicability of "preemption/balancing" test to state assertions of *regulatory* jurisdiction).

(emphasis added), that various state taxes might be opposable to tribal members if such taxes were "tailored" to off-reservation use, *id.* But the very passages relied upon by the Tax Commission provide the answer to its claim. In *Sac & Fox* (quoting *Colville*), this Court unanimously stated:

As we said in *Colville*, had the State "tailored its tax to the amount of actual off-[Indian country] use, . . . this *might* be a different case. *But it has not done so, and we decline to treat the case as if it had.*"

113 S.Ct. at 1993 (emphasis added) (citation omitted) (bracketed material in original).

Oklahoma has not "tailored" its fuel taxes – as applied to Indian-country purchases by tribal members – to the amount of use outside of Indian country. Had it done so, this *might* (or might not) be a different case. *But it has not done so*, and the Chickasaw Nation respectfully submits that this Court should follow the path it established in *Sac & Fox* and *Colville*, and "decline to treat the case as if it had." *Sac & Fox*, 113 S.Ct. at 1993 (quoting *Colville*, 447 U.S. at 164).

IV. RELEVANT TREATIES PRECLUDE THE IMPOSITION OF OKLAHOMA'S INCOME TAX ON THE INCOME OF CHICKASAW MEMBERS EMPLOYED DIRECTLY BY THE TRIBAL GOVERNMENT WITHIN ITS INDIAN COUNTRY, WHETHER OR NOT SUCH MEMBERS RESIDE WITHIN INDIAN COUNTRY.

At the outset, the sole income-tax question which this case presents to this Court must be stated with great precision: it is whether the Treaty of Dancing Rabbit Creek between the United States and the Choctaw Nation, Treaty of Sept. 27, 1830, 7 Stat. 333, later applied to the Chickasaw Nation and still later reaffirmed by Congress, *supra* at 6, precludes state taxation of the income of member employees of the *government* of the Chickasaw Nation who work within, but reside outside of Chickasaw Indian country. Br. in Opp.

2-3 & nn. 2-4; Pet. App. 31a.³⁷ The court of appeals held that it did. *Id.*

1. For well-known reasons, this Court has long held that canons of construction require that treaties protecting tribal rights be construed in the manner most favorable to the tribe. *E.g.*, *County of Oneida v. Oneida Indian Nation*, 470 U.S. 226, 247 (1985) (citing cases). It has applied that same principle to federal statutes. *E.g.*, *County of Yakima*, 502 U.S. at 269 (citing cases).

2. The Chickasaw Nation has described both the history leading up to the Treaty of Dancing Rabbit Creek, and the circumstances under which it became a beneficiary to that treaty's guarantees, in some detail in its Statement of the Case. See *supra* at 1-6. Whether because Choctaw lands were exceptionally vital to the United States, *supra* at 2; or because of the high level of cultural and political development of the Five Tribes, *supra* at 1-2; or because of the persistence of John C. Calhoun in pursuing, during the early part of his second term as Vice-President, his earlier policy of focusing on the Choctaw Nation as the first major tribe to be finally (and "voluntarily") removed to the West, *supra* at 2-3; or because of Choctaw willingness to be the first such Tribe so to do, *supra* at 5; or because of genuine concerns by Secretary of War John Eaton, the United States' representative in the Choctaw treaty negotiations, for the preservation of certain tribal cultures and self-government, *supra* at 4 & n.5; or because of the persistence of Choctaw negotiators, *supra* at 5; or because Congress had only two years earlier rejected forcible removal of the Choctaws, *supra* at 3, or because the

³⁷ This Court recently declined to decide whether state taxation of the income of tribal members employed by their tribal government, but residing outside Indian country, is precluded as to *all* tribes by the "infringement" principle of *Williams v. Lee*, 358 U.S. 217, 220 (1959). *Sac & Fox*, 113 S.Ct. at 1992. But as in *Sac & Fox*, that question was neither briefed nor argued below, Br. in Opp. 10 & n.8, and neither party has briefed it to this Court.

United States was willing to give the Choctaws favorable terms in order to ameliorate militant land demands from the citizens of Mississippi, *supra* at 2-3, or because of residual gratitude toward the Choctaws by President Andrew Jackson for the vitally-important role Choctaw warriors played in assisting him during the War of 1812, *supra* at 2 n.2, or for other reasons, one fact concerning the Treaty of Dancing Rabbit Creek is indisputable. *In that treaty, the United States and the Choctaw Nation negotiated terms more favorable to the Tribe than appeared in any previous Indian treaty in the history of the United States.* *Supra* at 5. The Tax Commission would have this Court construe the most important of those guarantees – perhaps the *sole* remaining treaty guarantee enjoyed by the Chickasaw and Choctaw Nations – dead letter.³⁸

The Chickasaw Nation has quoted Article IV of that treaty *verbatim* in its Statement of the Case. See *supra* at 5-6. The portion of Article IV of greatest relevance for present purposes provides:

The Government and people of the United States are hereby obliged to secure the said Choctaw Nation of Red People the jurisdiction and government of all persons and property that may be within their limits west,³⁹ so that no Territory or

³⁸ The Tax Commission's untenable construction of the treaty, which would have this Court read Article IV's "government clause" as "barring state laws that govern the Chickasaw in a manner that *displaces the mechanisms* of tribal government in Indian country," Pet. Br. 42 (emphasis added), is actually *less* protective of tribal interests than the "infringement" standard already applicable to *all* tribes pursuant, inter alia, to *Williams v. Lee*, 358 U.S. 217, 220 (1959).

³⁹ Petitioner has attempted to employ this clause to limit the express and unequivocal guarantee which immediately follows. Pet. Br. 43. But apart from the impact of the canons of construction on such argumentation, later cases have made clear that tribes possess sovereignty over both their territories and their members, *United States v. Wheeler*, 435 U.S. 313, 323

State shall ever have a right to pass laws for the *government* of the Choctaw Nation of Red People and their descendants. . . .

7 Stat. at 334 (emphasis added).⁴⁰

3. All nonresident member employees as to whom the court of appeals found the income tax non-opposable are employed directly by the tribal *government*. To be sure, while many are employed in what might be characterized as the performance of "traditional" governmental functions, *but cf. Garcia v. San Antonio Metropolitan Transit Authority*, 469 U.S. 528, 538-45 (1985) (finding that the "governmental/proprietary" distinction could not be satisfactorily drawn), others are employed in tribal enterprises. But they are all directly employed by *their government*, and in light of the historic congressional policy strongly promoting not only tribal self-determination but also self-sufficiency, *see, e.g., Cabazon Band*, 480 U.S. 216-17 & nn.19-20 (citing statutes and Presidential statements), Respondent respectfully urges this Court to recognize that while neither the federal government nor states regularly engage in entrepreneurial activities, *that precisely what Congress and the President have urged Indian tribal governments to do*. The functions of tribal "governments," in short, are different from those of the

(1978), and this Court has held that it will not "strain to implement" Indian policies which "Congress has now rejected," *South Carolina v. Catawba Indian Tribe*, 476 U.S. 498, 527 (1986). Even as a wholly textual matter, the guarantee is provided to the tribal *government* wherever that government exercises jurisdiction, and all member employees at issue in this case performed their duties *within Chickasaw territory*.

⁴⁰ In its Brief in Opposition, the Chickasaw Nation agreed with the Tax Commission that two other Oklahoma tribes, the Muscogee (Creek) Nation and the Seminole Nation (which, along with the Chickasaw and Choctaw Nations, comprise four of what were formerly known as the Five Civilized Tribes) have similar treaty guarantees, Br. in Opp. 28, but represented to this Court that, based on substantial research, it could find no others. *Id.* at 8-9. The Tax Commission has pointed to no others in its Brief-in-Chief. See Pet. Br. *passim*.

federal and state governments. Moreover, since this Court has been unable to draw a bright-line "governmental/proprietary" distinction well into the twentieth century, *Garcia*, 469 U.S. at 538-45, it cannot be assumed that the Indian signatories to the Treaty of Dancing Rabbit Creek – *all of whom signed that document by making an "x,"* see 7 Stat. 333, 342 (1830) – would have understood "government" in the crabbed sense proffered by the Tax Commission, see *supra* at 43 n.38, one hundred and sixty-five years ago.

4. As a wholly textual matter, "government" includes both the *process* of governance and the *structure* through which governance is achieved, OXFORD ENGLISH DICTIONARY 1181-82 (compact ed. 1971). By necessitating the payment of wages higher than would be required absent state taxation thereof, such taxation increases the cost (and consequently reduces the efficacy) of tribal government (both as a process and as an institution).

Apart from the dictionary definition, the Chickasaw Nation maintains that both the canons of construction and the historical origins of the treaty's "government clause" should inform the application of that clause.⁴¹ So understood, both

⁴¹ The Tax Commission's textual analysis, however, gives not the slightest nod to the canons, which require, *inter alia*, that treaty provisions be construed as the tribal signatories would have understood them at the time, *e.g.*, *Choctaw Nation v. Oklahoma*, 397 U.S. 620, 631 (1970); *United States v. Winans*, 198 U.S. 371, 380-81 (1905). Rather, it bases its textual argumentation on *contemporary* American usage and law, Pet. Br. 42 ("One would not . . . characterize a state income tax . . . on a federal employee . . . as passed 'for the government of the United States.' "); *id.* at 43 (citation omitted) (emphasis added) ("The theory . . . that a tax on income is . . . a tax on its source, is *no longer* tenable."), while failing to note that when the Treaty of Dancing Rabbit Creek was signed in 1830, precisely the *opposite* interpretations prevailed, *even among non-Indians*, see, *e.g.*, *Dobbins v. Commissioners of Erie County*, 41 U.S. (16 Pet.) 435 (1842) (invalidating state tax on income of federal employee under now-superseded "federal instrumentality" doctrine). Thus, not only did the tribal signatories to that treaty – who may or may not have been aware of

the canons and the state of extrinsic case law in 1830 provide support beyond text and history for the Chickasaw Nation's even-more-particularized contention that the treaty's "government clause" shields from state taxation the income of member employees of its government. *Supra* at 45-46 n.41.

5. Apart from the argumentation rebutted in footnotes 39 and 41 above, the Tax Commission maintains three lines of defense against that conclusion. Its first invokes *Mescalero Apache Tribe v. Jones*, 411 U.S. 145, 168 (1973), and *White Mountain Apache Tribe v. Bracker*, 448 U.S. 136, 144 (1980), for the general (*i.e.*, absent treaty guarantee) proposition that tribal interests in remaining free of state jurisdiction are "most significant when 'on-reservation conduct including only Indians is at issue.'" Pet. Br. 44 (emphasis added). But even in the limited sense in which the Tax Commission tenders it, that observation actually backfires as applied to the income-tax question herein, since all relevant "conduct" involves service by member employees, for the tribal government, in Indian country.⁴²

Second, in a *reductio ad absurdum* approach, the Tax Commission maintains that by the Chickasaw Nation's reasoning, the income of *nonmember* governmental employees should also be shielded from state taxation, and

cases such as *McCulloch v. Maryland*, 17 U.S. (4 Wheat.) 316 (1819), and its progeny, but who were certainly aware of the broad functions which the Choctaw government then performed, *e.g.*, DeROSIER, *supra*, at 7-13; Grayson Noley, *The Early 1700s: Education, Economics, and Politics, in THE CHOCTAW BEFORE REMOVAL* 73, 76-114 (Carolyn K. Reeves ed., 1985) – likely construe the "government clause" of that treaty to include broad immunities of member employees from state taxation, but it is also probable that the United States' negotiators (and Congress) had a similar understanding as well.

⁴² The Chickasaw Nation, in a different context, has noted above that the Tax Commission's ancillary argument that provision of some state services to tribal members (which it advances in the income tax as well as the fuel-tax context, see Pet. Br. 47) somehow changes that calculus has also been rejected by this Court. *See supra* at 36 n.33.

tribal members should be shielded from all state laws wherever they may travel within the United States. Pet. Br. 44. But the court of appeals rejected the former proposition, and the Chickasaw Nation is aware that for numerous reasons, see, *e.g.*, *supra* at 46 (discussing *Jones and Bracker*), such a claim is substantially more tenuous than its claim regarding member employees. Thus, it did not seek certiorari on that issue: the consequence of that decision, in turn, is that the court of appeals' resolution thereof is now the law of the Tenth Circuit, where all the tribes enjoying similar treaty guarantees reside, *supra* at 44 n.40. And as to the latter proposition, the Chickasaw Nation notes both that it tenders no extravagant claim under the "government clause" herein, and that the sole alternative to construing a treaty guarantee to absurd proportions is *not* to construe such a guarantee as having no meaning at all.

Third, the Tax Commission contends that the treaty's "government clause" was abrogated by implication when the following clause in the treaty, which guarantees that Choctaw [and Chickasaw] lands would never be "embraced in any . . . State," was validly, *cf. The Cherokee Tobacco*, 78 U.S. (11 Wall.) 616, 621 (1871) (upholding statutory abrogation of Indian treaty provision), abrogated upon the admission of Oklahoma as a state. Pet. Br. 45-47. But apart from the fact that abrogations-by-implication are disfavored, *e.g. United States v. Dion*, 476 U.S. 734, 739 (1986) (emphasis added) ("absent *explicit* statutory language, we have been extremely reluctant to find congressional abrogation of treaty rights. . . ."), the Tax Commission's construction would render the treaty's "government clause" mere redundant surplusage, since there would be no point in shielding tribal government from state law *if the Tribe would never be within a state to begin with*. While the Tax Commission's proffered interpretation would render the "government clause" – which is stated as an *independent* promise – no more than a "cruel joke," see *United States v. John*, 437 U.S. 634, 653 (1978), the Chickasaw Nation's, by

contrast, breathes meaning into *each*. See generally *County of Yakima*, 502 U.S. at 265 ("Judges 'are not at liberty to pick and choose among congressional enactments, and when two . . . statutes⁴³ are capable of co-existence it is the duty of the courts, absent a clearly expressed congressional intention to the contrary,⁴⁴ to regard each as effective.' ").

Apart from the sweep of its substantive guarantees, the Treaty of Dancing Rabbit Creek has a procedural feature which is also virtually unique (if not unique) among all Indian treaties: its *text* provides that ambiguities are to be resolved in favor of the Tribe. Treaty of Sept. 27, 1830, art. XVIII, 7 Stat. 333, 336. The Chickasaw Nation respectfully submits that this Court should construe that text to shield member employees of the tribal government from state income taxation, where their income is earned within Chickasaw Indian country.

⁴³ Absent clear congressional abrogation, *supra* at 47 (quoting *Dion*), in-force *treaty* provisions have no less preemptive effect than federal statutes, U.S. CONST. art. VI, cl. 2. The Oklahoma Enabling Act, Act of June 16, 1906, ch. 3335, 34 Stat. 267 (1906), is a federal statute, albeit pursuant to Congress' Article IV (rather than Article I) powers, see U.S. CONST. art. IV, § 3, cl. 1. As such, it may be further noted, it is also subject to the canons of construction described above, see *supra* at 42.

⁴⁴ Far from evidencing an intent to abrogate Indian treaty rights, the Oklahoma Enabling Act protected Indian rights in its very first sentence, 34 Stat. 267, going on to require the people of the proposed state to "agree and declare that they forever disclaim all right and title to . . . all lands lying within said limits owned or held by any Indian, tribe, or nation. . . ." 34 Stat. 269. While the Chickasaw Nation does not maintain that those provisions preempt state taxation of the income of its member employees, they nevertheless bear powerful witness against the Tax Commission's contention that Congress intended to repeal the "government clause" of the Treaty of Dancing Rabbit Creek by implication upon the admission of Oklahoma as a state.

CONCLUSION

Should the Oklahoma legislature reject the pending legislation discussed in Proposition I, see *supra* at 10-13, the court of appeals' decision should be affirmed in all respects. But should that legislation be adopted, this Court should affirm regarding the application of the state's fuel tax to tribal members, affirm on the third Question Presented, and dismiss the Writ as improvidently granted on all other issues herein.

Respectfully submitted,

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APPENDIX



HOUSE OF REPRESENTATIVES
1st Session of the 45th Legislature (1995)
REVENUE AND TAXATION COMMITTEE

STAFF REPORT
Representative Howard Cotner, Chairman
Representative Rou Langmacher, Vice Chairman

MEASURE: Committee Substitute for House Bill
1522

SUBJECT: Motor Fuel Tax

AUTHOR: Representative Cotner

PROVISIONS: 1. Clarifies that it is the purpose and intent of the various gasoline and diesel fuel tax levies that the tax shall be a levy and assessment on the consumer and the levy and assessment on other persons shall be as agents for this state for the collection of the tax.

2. Eliminates references to the distributor remitting motor fuel taxes on behalf of a licensed retailer of the distributor.

3. Exempts from motor fuel tax sales of motor fuel and diesel fuel to federally recognized Indian tribes for use in tribally owned vehicles used exclusively for governmental purposes. Provides that these tribes shall be issued a tax exemption certificate from the Tax Commission for that portion of the fuel that is exempt.

**EFFECTIVE
DATE:**

Emergency Clause

HOUSE OF REPRESENTATIVES
Thursday, February 23, 1995

**Committee Substitute for
House Bill No. 1522***

COMMITTEE SUBSTITUTE FOR HOUSE BILL NO. 1522
– By COTNER, SULLIVAN (John) and THORNBRUGH of
the House and HOBSON of the Senate.

An Act relating to revenue and taxation; amending 68 O.S. 1991, Sections 502, 502.1, 502.2, 502.3, 502.4, 502.5, 502.6 and 502.7, which relate to the levy of taxes on motor fuels; clarifying purpose and intent of gasoline and diesel fuel tax levies; amending 68 O.S. 1991, Section 505, as amended by Section 16, Chapter 146, O.S.L. 1993 (68 O.S. Supp. 1994, Section 505), which relates to due date and remittance of tax, reports and penalties; deleting certain reference to licensed retailer; amending 68 O.S. 1991, Sections 516, 520, 522 and 522.1, which relate to additional gasoline, diesel and other fuels taxes; clarifying purpose and intent of gasoline, diesel fuel and other fuel tax levies; amending 68 O.S. 1991, Section 527, as amended by Section 1, Chapter 300, O.S.L. 1992 (68 O.S. Supp. 1994, Section 527), which relates to exemptions from state tax; providing exemption from certain taxes for federally recognized Indian tribes; requiring certain

*The pending legislation is reproduced from the printed text verbatim. This Court should be aware that in the style employed by the Oklahoma House of Representatives, capitalized language denotes amendments to current statutes; bold face capitalized language denotes committee amendments, and bracketed bold face language denotes deletions from current statutes.

certificate to be issued to federally recognized Indian tribes; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 1991,
Section 502, is amended to read as follows:

Section 502. There is hereby levied an excise tax of four cents (\$0.04) per gallon upon the sale of each and every gallon of gasoline sold, or stored and distributed, or withdrawn from storage, within the state, for sale or use, to be reported and collected as provided by law [**; provided, that ninety-seven**]. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON GASOLINE PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS FOR THIS STATE FOR THE COLLECTION OF THE TAX. NINETY-SEVEN and one-half percent (97 1/2%) of the net gallonage reported for taxation, after all deductions allowed by law have been made, shall be the basis used in the computation of the amount of tax due[**; provided, further, no**]. NO gasoline shall be the basis more than once of the tax imposed by this section.

The tax shall be payable upon gasoline sold and delivered to, or used by the state or any political subdivision thereof.

SECTION 2. AMENDATORY 68 O.S. 1991,
Section 502.1, is amended to read as follows:

Section 502.1 There is hereby levied an excise tax of five and one-half cents (\$0.055) per gallon upon the sale of each and every gallon of diesel fuel sold within the state, to be reported and collected as provided by law [**; provided, that ninety-seven**]. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON DIESEL FUEL PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX. NINETY-SEVEN and one-half percent (97 1/2%) of the net gallonage reported for taxation, after all deductions allowed by law have been made, shall be the basis used in the computation of the amount of tax due[**; provided, further, no**]. NO diesel fuel shall be the basis more than once of the tax imposed by this section.

The tax shall be payable upon diesel fuel sold and delivered to or used by the state.

SECTION 3. AMENDATORY 68 O.S. 1991,
Section 502.2, is amended to read as follows:

Section 502.2 A. In addition to the excise taxes levied by Sections 502, 516, 520 and 522 of [**Title 68 of the Oklahoma Statutes**] THIS TITLE, there is hereby levied an excise tax of two and forty-two one-hundredths cents (\$0.0242) upon the sale of every gallon of gasoline sold, or stored and distributed, or withdrawn from storage within the state, for sale or use, which tax shall be reported and collected in the same manner as provided by law for the reporting and collecting of all other tax

levies upon the sale or use of gasoline within this state. Ninety-seven and one-half percent (97.5%) of the net gallonage reported to the Tax Commission for taxation, after all deductions allowed by law have been made, shall be the basis used in the computation of the amount of tax due. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON GASOLINE PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX.

B. Gasoline used exclusively by the United States and gasoline which is exempt from tax pursuant to the provisions of Sections 507, 508, 509 and 527 of [Title 68 of the Oklahoma Statutes] THIS TITLE shall be exempt from the tax levied pursuant to the provisions of this section.

C. The additional excise tax of two and forty-two one-hundredths cents (\$0.0242) per gallon of gasoline levied in this section, together with any interest and penalties thereon, collected by the Oklahoma Tax Commission shall be apportioned monthly as follows:

Two cents (\$0.02) of the two and forty-two one-hundredths cents (\$0.0242), together with any interest and penalties thereon, shall be apportioned according to the provisions of Section 504 of [Title 68 of the Oklahoma Statutes] THIS TITLE.

Forty-two one-hundredths cents (\$0.0042) of the two and forty-two one-hundredths cents (\$0.0242), together

with any interest and penalties thereon, shall be deposited in the County Bridge Improvement Fund of the State Treasury to be used for the purposes set forth in the County Bridge Improvement Act.

SECTION 4. AMENDATORY 68 O.S. 1991,
Section 502.3, is amended to read as follows:

Section 502.3 A. In addition to the excise tax levied by Sections 502.1 and 522.1 of [Title 68 of the Oklahoma Statutes] THIS TITLE, there is hereby levied an excise tax of two and one-half cents (\$0.025) upon the sale of each gallon of diesel fuel sold, or stored and distributed, or withdrawn from storage, within the state, for sale or use, which shall be reported and collected in the same manner as provided by law for the reporting and collecting of all other tax levies upon the sale or use of diesel fuel within this state. The basis for computation of the amount due shall be ninety-seven and one-half percent (97.5%) of the net gallonage reported for taxation, after all deductions allowed by law have been made. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON DIESEL FUEL PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX.

B. Diesel fuel used exclusively by the United States and diesel fuel which is exempt from tax pursuant to the provisions of Sections 507, 508, 509 and 527 of [Title 68 of the Oklahoma Statutes] THIS TITLE shall be exempt

from the tax levied pursuant to the provision of this section.

C. The additional excise tax of two and one-half cents (\$0.025) per gallon of diesel fuel levied in this section, together with any interest and penalties thereon, collected by the Oklahoma Tax Commission shall be apportioned monthly as follows:

Two cents (\$0.02) of the two and one-half cents (\$0.025), together with any interest and penalties thereon, shall be apportioned according to the provisions of paragraph 1 of Section 504.1 of [Title 68 of the Oklahoma Statutes] THIS TITLE.

One-half of one cent (\$0.005) of the two and one-half cents (\$0.025), together with any interest and penalties thereon, shall be deposited in the County Bridge Improvement Fund of the State Treasury to be used for the purposes set forth in the County Bridge Improvement Act.

SECTION 5. AMENDATORY 68 O.S. 1991,
Section 502.4, is amended to read as follows:

Section 502.4 A. There is hereby levied an excise tax of one cent (\$0.01) upon the sale of every gallon of gasoline sold, or stored and distributed, or withdrawn from storage within the state, for sale or use, which shall be reported and collected in the same manner as provided by law for the reporting and collecting of all other tax levies upon the sale or use of gasoline within this state. The basis for computation of the amount due shall be ninety-seven and one-half percent (97.5%) of the net gallonage reported to the Tax Commission for taxation,

after all deductions allowed by law have been made. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON GASOLINE PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX.

B. Gasoline used exclusively by the United States and gasoline which is exempt from tax pursuant to the provisions of Sections 507, 508, 509 and 527 of [Title 68 of the Oklahoma Statutes] THIS TITLE shall be exempt from the tax levied pursuant to the provisions of this section.

C. The additional excise tax of one cent (\$0.01) per gallon of gasoline levied by this section, together with any interest and penalties thereon, collected by the Oklahoma Tax Commission shall be deposited in the County Road, Improvement Revolving Fund of the State Treasury to be used for the purposes set forth in the County Road Improvement Act.

SECTION 6. AMENDATORY 68 O.S. 1991, Section 502.5, is amended to read as follows:

Section 502.5 A. There is hereby levied an excise tax of one cent (\$0.01) upon the sale of each gallon of diesel fuel sold, or stored and distributed, or withdrawn from storage, within the state, for sale or use, which shall be reported and collected in the same manner as provided by law for the reporting and collecting of all other tax levies upon the sale or use of diesel fuel within this state. The basis for computation of the amount due shall be

ninety-seven and one-half percent (97.5%) of the net gallonage reported to the Tax Commission for taxation, after all deductions allowed by law have been made. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON DIESEL FUEL PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX.

B. Diesel fuel used exclusively by the United States and diesel fuel which is exempt pursuant to the provisions of Sections 507, 508, 509 and 527 of [Title 68 of the Oklahoma Statutes] THIS TITLE shall be exempt from the tax levied pursuant to the provisions of this section.

C. The additional excise tax of one cent (\$0.01) per gallon of diesel fuel levied by this section, together with any interest and penalties thereon, collected by the Oklahoma Tax Commission shall be deposited in the County Road Improvement Revolving Fund of the State Treasury to be used for the purposes set forth in the County Road Improvement Act.

SECTION 7. AMENDATORY 68 O.S. 1991,
Section 502.6, is amended to read as follows:

Section 502.6 A. In addition to the excise taxes levied by Sections 502, 502.2, 502.4, 516, 520 and 522 of this title, there is hereby levied an excise tax of six cents (\$0.06) upon the sale of every gallon of gasoline sold, or stored and distributed, or withdrawn from storage within the state, for sale or use, which shall be reported and collected in the same manner as provided by law for the

reporting and collecting of all other tax levies upon the sale or use of gasoline within this state. The basis for computation of the amount due shall be one hundred percent (100%) of the net gallonage reported to the Tax Commission for taxation, after all deductions allowed by law have been made. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON GASOLINE PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX.

B. Gasoline used exclusively by the United States and gasoline which is exempt from tax pursuant to the provisions of Sections 507, 508, 509 and 527 of this title shall be exempt from the tax levied pursuant to the provisions of this section.

C. It is hereby declared to be the intent of the Legislature that the total state excise tax, levied by this section and Sections 502, 502.2, 502.4, 516, 520 and 522 of this title, shall be sixteen cents (\$0.16) upon the sale or use of each gallon of gasoline within this state and that no gasoline shall be subject to said total tax more than one time.

D. The additional excise tax of six cents (\$0.06) per gallon of gasoline levied by this section, together with any interest, and penalties thereon, collected by the Oklahoma Tax Commission shall be apportioned monthly as follows:

1. Five cents (\$0.05) of the six cents (\$0.06), together with any interest and penalties thereon, shall be apportioned to the State Transportation Fund for any purpose provided for in Section 1502 of Title 69 of the Oklahoma Statutes; and

2. One cent (\$0.01) of the six cents (\$0.06), together with any interest and penalties thereon, shall be distributed to the various counties in the following manner: thirty percent (30%) based upon area, thirty percent (30%) based upon population according to the latest Federal Decennial Census or the most recent annual estimate provided by the U.S. Bureau of the Census and forty percent (40%) based upon county road mileage on the basis which the respective area, population and county road mileage of each county bear to the total area, population and county road mileage of the state. The funds so transmitted shall be sent to the respective county treasurers and by them deposited in the county highway fund to be used by the board of county commissioners for the purpose of construction, repair and maintenance of county roads and highways.

SECTION 8. AMENDATORY 68 O.S. 1991,
Section 502.7, is amended to read as follows:

Section 502.7 A. In addition to the excise taxes levied by Sections 502.1, 502.3, 502.5 and 522.1 of this title, there is hereby levied an excise tax of three cents (\$0.03) upon the sale of each gallon of diesel fuel sold, or stored and distributed, or withdrawn from storage, within the state, for sale or use, which shall be reported and collected in the same manner as provided by law for the reporting and collecting of all other tax levies upon the

sale or use of diesel fuel within this state. The basis for computation of the amount due shall be one hundred percent (100%) of the net gallonage reported to the Tax Commission for taxation, after all deductions allowed by law have been made. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON DIESEL FUEL PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS FOR THIS STATE FOR THE COLLECTION OF THE TAX.

B. Diesel fuel used exclusively by the United States and diesel fuel which is exempt from tax pursuant to the provisions of Sections 507, 508, 509 and 527 of this title shall be exempt from the tax levied pursuant to the provisions of this section.

C. It is hereby declared to be the intent of the Legislature that the total state excise tax levied by this section and Sections 502.1, 502.3, 502.5 and 522.1 of this title, shall be thirteen cents (\$0.13) upon the sale or use of each gallon of diesel fuel within this state and that no diesel fuel shall be subject to said total tax more than one time.

D. The additional excise tax of three cents (\$0.03) per gallon of diesel fuel levied by this section, together with any interest and penalties thereon, collected by the Oklahoma Tax Commission shall be apportioned monthly to the State Transportation Fund.

SECTION 9. AMENDATORY 68 O.S. 1991,
Section 505, as amended by Section 16, Chapter 146,

O.S.L. 1993 (68 O.S. Supp. 1994, Section 505), is amended to read as follows:

Section 505. A. The tax levied by Sections 502, 502.1 and 522.1 of this title are due and payable on the first day of each month for the preceding calendar month, and if not paid on or before the twenty-fifth day of each month shall thereafter be delinquent.

B. Every distributor shall make and transmit to the Tax Commission on or before the twenty-fifth day of each calendar month, upon a form prescribed or furnished by the Tax Commission, an itemized and verified report showing the quantity of motor fuel, diesel fuel or blending material imported, produced, refined, manufactured, or compounded within this state, the number of gallons of motor fuel, diesel fuel or blending material received, as shown by the shipper's invoice thereof, by such distributor in this state, from any source during the preceding month, the number of gallons of motor fuel, diesel fuel or blending material purchased, received or accepted in this state in the original package or container in which same was imported into this state, the amount purchased, the date of each purchase, the name of the person from whom purchased, the manifest, bill of lading or delivery invoice number of each shipment, which number shall be the number used by the original supplier as shown on the basic shipping records which accompany the shipment, the date of receipt of such shipment of motor fuel, diesel fuel or blending material, the point of origin, point of destination of each shipment, the quantity of each of said purchases or shipments, the tank car number and initials of the car, if shipped by rail, or the name or the O.T.C. license number of the transporter if shipped by truck. The

report must also include the number of gallons of motor fuel, diesel fuel or blending material sold or withdrawn from storage for sale or use in this state during the preceding month, the date of each such sale, or use or withdrawal for the sale, the quantity of each sale, or amount used, the name and address of each purchaser, the manifest, bill of lading, or delivery invoice number, which number shall be the number as shown on the basic shipping or delivery records which accompany the delivery, the tank car initial and number of the car in which same was shipped, if transported by rail, or the name or the O.T.C. license number of the transporter, if shipped by truck. Provided that, if it is determined by the Tax Commission that a detailed record including delivery invoice of each and every sale of motor fuel, diesel fuel or blending material is being kept in accordance with the provisions of this article, the Tax Commission may require in lieu of the detailed schedule of sales, a report of the total gallons of motor fuel, diesel fuel or blending material sold or used by each bulk station, together with a detailed listing of all sales on which exemption is claimed showing the date, seller's invoice number, exemption invoice number, name and address and exemption permit number of the purchaser and number of gallons of each sale. Provided, however, that all persons engaged in producing, refining, preparing, distilling, blending, manufacturing, or compounding motor fuel, diesel fuel or blending material, **[must]** SHALL include the required detailed schedule of withdrawals from storage for sale or use in the monthly reports covering such producing, refining, preparing, distilling, blending, manufacturing, or compounding operations. The report must

also include the amount of motor fuel, diesel fuel or blending material on hand at the beginning and close of the month as shown by the physical inventory taken on those dates, and such other information pertaining to such production, receipts, sales, or use of motor fuel, diesel fuel or blending material ordered as the Tax Commission may require. In order to compute the net gallonage of diesel fuel taxable under this act, there shall be allowed a deduction from the total number of gallons of diesel fuel sold the amount of diesel fuel used exclusively for purposes other than to propel motor vehicles over the public highways of this state. In the event it would be either more practicable or more accurate to determine the amount of diesel fuel so used on a mileage, idling time or other basis, the Tax Commission is authorized to approve and accept such basis.

C. Every distributor, at the time of making the monthly reports required by this section, shall remit to the Tax Commission the amount of tax due.

It shall be unlawful for any distributor, retailer or dealer to sell or offer for sale in this state, motor fuel or diesel fuel while delinquent in the payment of any excise tax due the state.

Motor fuel taxes remitted by a distributor **[on behalf of a licensed retailer of the distributor or collected]** on behalf of a nonlicensed purchaser of motor fuel that are subsequently determined to be uncollectible by the distributor may be credited against subsequent motor fuel tax liability imposed by law upon such distributor. For purposes of this subsection, motor fuel taxes **[collected on behalf of a licensed retailer of the distributor or**

collected] REMITTED on behalf of a nonlicensed purchaser shall be deemed uncollectible if such taxes are deducted for purposes of calculating the federal income tax liability of the distributor. The method for crediting uncollectible motor fuel taxes as provided by this subsection shall be prescribed in rules and regulations of the Oklahoma Tax Commission.

D. Reports and remittances as required herein, which are received by the Tax Commission subsequent to the twenty-fifth of the month but which were mailed on or before the twenty-fifth of the month in which payable, shall be deemed to have been received by the Tax Commission before becoming delinquent. Postmark or registry receipt showing deposit in the U.S. mails shall be conclusive evidence of the date of mailing.

The time for filing returns and paying the tax levied by this article shall not be extended.

E. Any retailer or dealer as defined in Section 501 of this title shall, at its option, pay to the distributor, for the benefit of the state, all taxes due on all diesel fuel purchased from distributors or may procure a distributor's license as provided in Section 510 of this title and be subject to the reporting requirements of this section.

F. When any person shall fail to submit or remit to the Tax Commission any reports or taxes required hereunder for the tax levied in Sections 502.1 and 522.1 of this title within twenty-five (25) days from the date they are due, the Tax Commission may assess the following additional penalties:

A penalty of ten percent (10%) of the total tax due may be assessed on the thirtieth day from the day the taxes or reports are due.

Should the taxes or reports required hereunder not be submitted or remitted after the thirtieth day from the day they are due, action may be initiated to cancel such person's license under the provisions of Section 212 of this title.

SECTION 10. AMENDATORY 68 O.S. 1991,
Section 516, is amended to read as follows:

Section 516 [(a)] A. An excise tax of one and one-half cents (\$0.015) per gallon is levied upon the sale of each and every gallon of gasoline sold, or stored and distributed, or withdrawn from storage, for sale or use which tax shall be in addition to the tax of four cents (\$0.04) per gallon levied by Section 502 of this [Code] TITLE, and which tax shall be in addition to all other taxes [herein or hereafter] levied upon gasoline[; **provided, that ninety-seven**]. NINETY-SEVEN and one-half percent (97 1/2%) of the net gallonage reported for taxation, after all deductions allowed by law have been made, shall be the basis used in the computation of the amount of tax due[; **and provided, further, that gasoline**]. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON GASOLINE PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX. GASOLINE which is exempt from the tax of four cents

(\$0.04) per gallon under Section 509 of this [Code] TITLE shall also be exempt from one-half cent (\$0.005) per gallon gasoline excise tax of the one and one-half cents (\$0.015) per gallon tax levied by this section but shall not be exempt from the remaining one cent (\$0.01) per gallon gasoline excise tax hereby levied. It is the intent of the Legislature that one-half cent (\$0.005) per gallon of the one and one-half cents tax levied by this section shall not apply to gasoline when used for agricultural purposes as provided by Section 509 of this [Code; and provided, further, that gasoline] TITLE. GASOLINE which is exempted from the tax of four cents (\$0.04) under Section 508 of this [Code] TITLE shall be exempted from the one and one-half cents (\$0.015) per gallon tax levied by this section[; and provided, further, that no]. NO gasoline shall be the subject of the tax hereby levied more than once.

[(b)] B. The tax of one and one-half cents (\$0.015) per gallon herein levied shall be reported to and collected by the Tax Commission in the same manner, by the same method and at the same time as the tax of four cents (\$0.04) per gallon levied by Section 502 of this [Code] TITLE.

[(c)] C. The tax of one and one-half cents (\$0.015) per gallon herein levied shall apply to and be payable on gasoline sold and delivered to or used by the state, city, town, county or any political subdivision thereof.

SECTION 11. AMENDATORY 68 O.S. 1991, Section 520, is amended to read as follows:

Section 520. There is hereby levied an excise tax of eight one-hundredths of one cent (\$0.01) per gallon on all

gasoline, kerosene, naphtha, motor fuel, and blending material sold, or stored and distributed or withdrawn from storage for sale or use in **[the State of Oklahoma]** THIS STATE or delivered in **[the State of Oklahoma]** THIS STATE for resale to consumers of such products, which shall be in addition to all other taxes levied by this article. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON GASOLINE, KEROSENE, NAPHTHA, MOTOR FUEL, AND BLENDINGS MATERIAL PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX.

SECTION 12. AMENDATORY 68 O.S. 1991,
Section 522, is amended to read as follows:

Section 522. **[(a)] A.** There is hereby levied an excise tax of one cent (\$0.01) per gallon upon the sale of each and every gallon of gasoline sold, or stored and distributed, or withdrawn from storage, for sale or use, which tax shall be in addition to all other taxes levied by this article upon gasoline[; **provided, that ninety-seven**]. NINETY-SEVEN and one-half percent (97 1/2%) of the net gallonage reported for taxation, after all deductions allowed by law have been made, shall be the basis used in the computation of the amount of tax due[, **and provided, further, that no**]. NO gasoline shall be the subject of the tax hereby imposed more than once. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON GASOLINE PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND

ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX.

[(b)] B. The excise tax of one cent (\$0.01) per gallon levied by this section, including interest and penalties thereon, shall be reported to and collected by the Tax Commission at the same time, in the same manner, and by the same method as the tax imposed by Section 502 of this [Code] TITLE.

[(c)] C. On sales of gasoline by a licensed distributor of motor fuel, to any other licensed distributor, the tax levied by this section may be assumed by such other licensed distributor in the same manner and under the same conditions as provided elsewhere herein.

[(d)] D. The only exemptions from the tax hereby levied are as follows:

1. Gasoline or motor fuel used exclusively by the United States.
2. Gasoline or motor fuel exported from this state which is exempt under Section 507(b) of this [Code] TITLE.
3. Gasoline or motor fuel used exclusively in aircraft which is exempt under the provisions of Section 508 of this [Code] TITLE.
4. Gasoline or motor fuel purchased by a school district which is exempt under provisions of Section 527 of this [Code] TITLE.

SECTION 13. AMENDATORY 68 O.S. 1991,
Section 522.1, is amended to read as follows:

Section 522.1 There is hereby levied an excise tax of one cent (\$0.01) per gallon upon the sale of each and every gallon of diesel fuel sold within the state, to be reported and collected as provided by law[; **provided, that ninety-seven**]. NINETY-SEVEN and one-half percent (97 1/2%) of the net gallonage reported for taxation, after all deductions allowed by law have been made, shall be the basis used in the computation of the amount of tax due[; **provided, further, no**]. NO diesel fuel shall be the basis more than once of the tax imposed by this section. IT IS THE PURPOSE AND INTENT OF THIS SECTION THAT THE TAX LEVIED ON DIESEL FUEL PURSUANT TO THE PROVISIONS OF THIS ARTICLE SHALL BE A LEVY AND ASSESSMENT ON THE CONSUMER AND THE LEVY AND ASSESSMENT ON OTHER PERSONS AS SPECIFIED IN THIS ARTICLE SHALL BE AS AGENTS OF THIS STATE FOR THE COLLECTION OF THE TAX.

The tax shall be payable upon diesel fuel sold and delivered to the state.

SECTION 14. AMENDATORY 68 O.S. 1991,
Section 527, as amended by Section 1, Chapter 300, O.S.L. 1992 (68 O.S. Supp. 1994, Section 527), is amended to read as follows:

Section 527. A. Gasoline, diesel fuel or special fuels used solely and exclusively in district-owned public school vehicles or FFA and 4-H Club trucks for the purpose of legally transporting public school children shall be exempt from all state taxes; and gasoline, diesel fuel or

special fuels purchased by any school district for use exclusively in school buses leased or hired for the purpose of legally transporting public school children, or in the operation of vehicles used in driver training, shall also be exempt from all state taxes.

B. Gasoline, diesel fuel or special fuels used solely and exclusively as fuel to propel motor vehicles on the public roads and highways of this state, when leased or owned and being operated for the sole benefit of a county, city, town, or a volunteer fire department with a state certification and rating, shall be exempt from all state taxes levied by this title. Provided, if the gasoline, diesel fuel or special fuels are placed directly into the fuel supply tank or tanks of the motor vehicles by the supplier, certification must be made on the invoice and all such sales must be reported by the supplier on forms provided by the Oklahoma Tax Commission.

C. SALES OF MOTOR FUEL AND DIESEL FUEL TO FEDERALLY RECOGNIZED INDIAN TRIBES FOR USE IN TRIBALLY OWNED VEHICLES USED EXCLUSIVELY FOR GOVERNMENTAL PURPOSES SHALL BE EXEMPT FROM THE TAXES LEVIED BY THIS ARTICLE. ALL FEDERALLY RECOGNIZED INDIAN TRIBES SHALL BE ISSUED A TAX EXEMPTION CERTIFICATE FROM THE OKLAHOMA TAX COMMISSION FOR THAT PORTION AUTHORIZED BY THIS SECTION TO BE TAX EXEMPT.

SECTION 15. It being immediately necessary for the preservation of the public peace, health and safety, an emergency is hereby declared to exist, by reason whereof

this act shall take effect and be in full force from and after its passage and approval.

COMMITTEE REPORT BY: COMMITTEE ON REVENUE
AND TAXATION, dated 2-22-95 - DO PASS, As
Coauthored.

REPLY BRIEF

110
No. 94-771

Supreme Court, 1994

FILED

APR 14 1995

OFFICE OF THE CLERK

In the Supreme Court of the United States

OCTOBER TERM, 1994

OKLAHOMA TAX COMMISSION,

Petitioner,

v.

CHICKASAW NATION,

Respondent.

**On Writ of Certiorari to
the United States Court of Appeals
for the Tenth Circuit**

REPLY BRIEF OF PETITIONER

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In the Supreme Court of the United States

OCTOBER TERM, 1994

No. 94-771

OKLAHOMA TAX COMMISSION,

Petitioner,

v.

CHICKASAW NATION,

Respondent.

On Writ of Certiorari to
the United States Court of Appeals
for the Tenth Circuit

REPLY BRIEF OF PETITIONER

Remarkably, the Tribe (despite the vituperative tone of its argument¹) and the United States take issue with *none* of the principle propositions advanced in our opening brief. So far as the tax on motor fuel is concerned, they do not deny that the balance of state and tribal interests decisively favors the State; they expressly recognize that their theory rests on a formalism that has no basis in economic reality; and they acknowledge that the Court has *disavowed* the rationale of its early decisions according tribes absolute immunity from state taxation. As for the income tax,

¹ The Tribe demonstrates a useful facility with derogatory turns of phrase, variously labeling our arguments "incomprehensibl[e]" (Resp. Br. 13 n.13), "egregious" (*id.* at 14), "appeal by ambush" (*ibid.*), "fatuous" (*id.* at 16), "literally incredible" (*id.* at 18), "a material factual misrepresentation" (*ibid.*), "bizarre" (*id.* at 19 n.17), "absurd" (*id.* at 26 n.22), "incoheren[t]" (*id.* at 34), and "lacking credibility of the most fundamental kind" (*id.* at 13).

neither the Tribe nor the United States denies that Congress has fundamentally changed the understandings that underlay the Treaty of Dancing Rabbit Creek; to avoid that reality, they offer mutually — and internally — inconsistent readings of the Treaty. They accordingly have offered no persuasive defense of the decision below.

Before joining issue on the merits, we note that Okla. House Bill No. 1522, the proposed amendment to the motor fuel tax described by the Tribe (at Br. 11-12), died in a committee of the Oklahoma Senate. Legislative rules preclude its further consideration during the current session of the Oklahoma Legislature. There accordingly is no substantial prospect that the tax will be amended (and the motor fuel issue mooted) during the pendency of this case.

A. The Motor Fuel Tax Is Authorized By The Hayden-Cartwright Act

1. The Tribe and the United States are wrong in contending (at Resp. Br. 15-18, U.S. Br. 20-21) that the Commission is precluded from relying on the Hayden-Cartwright Act in this Court because it did not advance that Act below or in its petition for certiorari. The Commission's reliance on the Act is "not a new claim * * *, but a new argument to support what has been [its] consistent claim" (*Lebron v. National Railroad Passenger Corp.*, No. 93-1525 (Feb. 21, 1995), slip op. 4): that the motor fuel tax is not preempted by federal law. Use of the Act to establish that proposition "is fairly embraced within the question set forth in the petition for certiorari." *Id.* at 5 (citation omitted). Insofar as is relevant here, the first question presented in the petition is "[w]hether principles of federal preemption * * * preclude a State from imposing a tax on sales of motor fuel by an Indian tribe" (Pet. i); far from presenting a distinct issue, the Hayden-Cartwright Act is additional *authority* that helps to answer that question by establishing that federal law does *not* preempt the motor fuel tax. See *Yee v. Escondido*, 112 S. Ct. 1522, 1532 (1992); *United States National Bank of Oregon v. Independent Insurance Agents*, 113 S.

Ct. 2173, 2178 (1993).² We therefore are frankly mystified by the Tribe's contention (at Br. 15) that a federal statute authorizing state legislation that is "*otherwise forbidden* by federal law" has nothing to do with an inquiry into whether that legislation is preempted by federal law.³

2. On the merits, the United States (at Br. 21) and the Tribe's other *amici* contend principally that the Act is inapplicable here because it does not in terms authorize state taxation of sales on *Indian* reservations. This assertion is insupportable. Although we certainly agree that statutory ambiguities should be resolved in the Tribe's favor, that principle is simply beside the point where, as here, the statute is wholly *unambiguous*.

The Hayden-Cartwright Act provides that States may tax sales of motor fuel that occur "on United States military or other

² Engaging in the sort of ad hominem attack that typifies its brief, the Tribe (at Br. 16-18) dismisses as "fatuous" the Commission's explanation (at opening Br. 24 n.11) for its failure to cite the Hayden-Cartwright Act in the courts below. While we believe it inappropriate to respond in kind, we note that the Commission's thinking below is, for present purposes, beside the point; the relevant issue is whether the applicability of the Hayden-Cartwright Act is subsumed within the question presented in the petition. On that, the Tribe's wholly conclusory discussion is, in the Tribe's word (at Br. 19 n.17), "bizarre."

³ Indeed, as the Court explained in closely analogous circumstances in *Lebron* (at slip op. 7), it is here "quite impossible" to resolve the question of preemption without considering the meaning of the Act. As we note in our opening brief (at 22-23), preemption analysis in the Indian setting requires review of the background of relevant congressional enactments. In these circumstances, "refusing to regard [the Hayden-Cartwright Act's applicability] as embraced within the petition" — and therefore treating the statute as though it did not exist — "may force [the Court] to assume what the facts will show to be ridiculous, a risk which ought to be avoided." *Ibid.* Compare *Yee*, 112 S. Ct. at 1533 (new argument not addressed where it "would not assist in resolving" the question presented in the petition).

reservations.”⁴ Despite the Herculean efforts of the United States and the Tribe’s other *amici* to find ambiguity here, there was no doubt about the meaning of the term “reservation” at the time of the Act’s enactment in 1936; it had long been understood that “[t]he word is used in the land law to describe any body of land, large or small, which Congress has reserved from sale for any purpose. It may be a military reservation, or an Indian reservation, or, indeed, one for any purpose for which Congress has authority to provide.” *Celestine*, 215 U.S. at 285. As we explain in our opening brief (at 23), the Attorney General made precisely that point just four months after the statute’s enactment. Moreover, as *amici* South Dakota, *et al.*, explain (at Br. 11, 15-17), Senator Hayden previously had proposed legislation in which the term “reservations under federal control” was specifically intended to apply to Indian reservations, and there is no reason to doubt that he had the same meaning in mind when he authored the similarly-worded Hayden-Cartwright Act. Moreover, the Act’s reference to licensed traders — which, the United States evidently agrees (see U.S. Br. 23 n.14), can refer only to *Indian* traders — would have been nonsensical had the Act not applied to sales taking place on Indian reservations.

This understanding is confirmed by the Act’s background and purposes. As *Amici* South Dakota, *et al.*, explain in some detail (at Br. 12-23), the Act was needed because the sale of fuel on federal reservations was leading to a substantial loss of state tax revenue — which, as this case demonstrates, is just the effect of sales by tribes on Indian reservations. And there is every reason to believe that this was a problem at the time of the statute’s enactment; the on-reservation sale of fuel to the general public was the very situation addressed in 1940 by Solicitor of the Interior Margold in *Menominee Indian Mills*, 57 Interior Dec. at 138-140. Indeed, the Act was enacted as an amendment to a bill that provided funding for highways through a variety of federal reservations, including

⁴ As *amici* South Dakota, *et al.*, explain (at Br. 21), the express mention of military reservations evidently was prompted by this Court’s then-recent decision in *Standard Oil Co. v. California*, 291 U.S. 242 (1934), that a state fuel tax could not be imposed on the sale of gasoline at the Presidio military reservation in San Francisco.

national forests, national parks, and Indian reservations. See §§ 2-6, 49 Stat. 1520-1521. The United States offers no basis for concluding that the Act was not meant to apply to each.⁵

It was for these reasons, as the United States itself acknowledges in a revealingly defensive footnote (at Br. 23 n.14), that Solicitor Margold concluded in 1940 that the Act applies to sales on Indian reservations. As we note in our opening brief (at 24), Congress twice revisited and once re-enacted the Act in the years after Solicitor Margold issued his opinion. That is dispositive here. See *Lorillard v. Pons*, 434 U.S. 575, 580 (1978); see also *Qualitex Co. v. Jacobson Products Co., Inc.*, No. 93-1577 (March 28, 1995), slip op. 14.⁶

⁵ The United States finds it significant that, although the Act does not mention Indian reservations in terms, other provisions of the highway funding statute to which the Act was an amendment “specifically refer[] * * * to ‘Indian reservation[s]’ and ‘Indian lands.’” U.S. Br. 21-22, quoting §§ 6, 3, 49 Stat. 1521, 1520. Read in context, however, the funding statute *confirms* that the Act applies to Indian reservations, as Solicitor Margold concluded. See Pet. Br. 24 n.11. As we note in text, separate sections of the funding statute appropriated moneys for the construction of highways on different sorts of federal reservations; Section 6 dealt with Indian reservations, and Congress therefore had no choice but to “specifically refer[]” to such reservations in that provision. The statute made similar “specific references” in Section 2 to national forests and in Section 4 to national parks — but that hardly means that those forms of federal reservation are excluded from the scope of the Act because they are not separately enumerated in it. Section 3’s reference to “nontaxable Indian lands,” also cited by the United States, refers to allotted lands which, as distinct from reservation lands, had to be separately listed.

⁶ The Tribe’s *amici* Cheyenne-Arapaho Tribes, *et al.* (at Br. 13-18), and Navajo Nation Oil and Gas Co. (at Br. 20-26), assert that the Buck Act, 4 U.S.C. §§ 105-113, is useful in establishing the scope of the Hayden-Cartwright Act. But the Buck Act, which in 4 U.S.C. §§ 105 and 106 authorizes state sales and income taxes on federal reservations, provides powerful support for *our* position. In sharp contrast to the Hayden-Cartwright Act, the Buck Act explicitly provides that “[n]othing in sections 105 and 106 of this title shall be deemed to authorize the levy or collection of any tax on or from any Indian not otherwise taxed.” 4

B. The Court Should Not Apply A Per Se Rule Of Tax Immunity To Preclude Collection Of The Motor Fuel Tax

1. The Tribe's and the United States' defense of what they describe as the per se rule against state taxation of Indian tribes is notable for what it reveals to be the common ground between the parties: they do not take issue *in any respect* with our description either of the motor fuel tax or of the competing state and tribal interests at stake here. They accordingly do not deny that the fuel subject to tax is used almost exclusively outside of Indian country on state jurisdiction roads; that the fuel is imported onto federal trust lands so that it may be immediately resold for use *outside* of Indian country; or that the purchasers of that fuel are for the most part non-members of the Tribe.⁷ They also pointedly do not deny

U.S.C. § 109. Congress preserved this distinction when the two statutes were codified and re-enacted in 1947, making the Hayden-Cartwright Act applicable to all sales on federal reservations and the Buck Act inapplicable to Indians "not otherwise taxed." (This distinction makes perfect sense: motor fuel purchased on a reservation often, as in this case, will be used on state jurisdiction roads, while a State typically will not have an interest in taxing income earned by reservation residents or the sale of goods that will be consumed on the reservation.) Congress's use of this differing language in two closely related provisions should be given effect. While the Tribe's *amici* look for support to nuances of the Buck Act's legislative history, the decisive point is that Congress chose to modify the Buck Act language to create an Indian tax immunity while leaving the Hayden-Cartwright Act unchanged.

⁷ While not taking issue with the district court's finding that the fuel subject to tax is "used almost exclusively off of Indian country on State jurisdiction roads" (Pet. App. 36a), the Tribe points (at Br. 37 n.33) to a contract it has entered into with the Bureau of Indian Affairs for what the Tribe describes as "*its own* road and bridge construction and maintenance projects." But this extra-record material does not indicate whether these roads are in Indian country, does not show their mileage, indicates that such roads are funded by the BIA rather than the Chickasaw nation, and provides that "[a] prerequisite for approval by [the] Federal Highway Administration for all construction projects will be a maintenance agreement with a local entity where-in the Chickasaw Nation shall be

that the Tribe's sale of fuel has substantial effects and imposes significant costs upon the State *outside* of Indian country, while it imposes no burdens at all upon the Tribe *within* Indian country.⁸

Similarly, the Tribe and the United States expressly acknowledge (see Resp. Br. 10-11; U.S. Br. 15 & n.6) that their per se rule rests *entirely* upon a formalism. They thus recognize that, at least so far as sales to non-members are concerned, the State could impose a tax *identical* to the one challenged here if only it declared the levy's legal incidence to fall upon the consumer, a change that would have *no effect at all* on the actual operation of the tax. What is more, they also concede (the United States forthrightly (at Br. 15 n.6), and the Tribe more grudgingly (at Br. 20)) that the Court has *rejected* their approach — which would substitute an especially wooden formalism for “economic realities” (*Complete Auto*, 430 U.S. at 279) — in virtually every other context. See, e.g., *Oklahoma Tax Commission v. Jefferson Lines, Inc.*, No. 93-1677 (April 3, 1995), slip op. 7-8. Against this background, the question here reduces to the following: whether, in a case where the State's interest in imposing a tax is compelling and the Tribe's interest in resisting it is insubstantial, the Court nevertheless should apply a uniquely formalistic rule to accord the Tribe a tax immunity.

agreement with a local entity where-in the *Chickasaw Nation shall be unconditionally excluded as ever being responsible for maintenance.*” Contract No. CT G03 T 906 11, Art. II, ¶ 202.13 (emphasis added). The Court accordingly should decide this case on the basis of the record created below, which establishes unequivocally that the Chickasaw Nation does not construct or maintain roads for the use of the general public and that the fuel subject to tax is used almost exclusively on state roads. Pet. App. 36a-37a. On a related point, the Tribe does concede (at Br. 12 n.12) that sales to tribal members are only a “small component” of total sales.

⁸ Indeed, the United States candidly acknowledges that “[t]he basis for state taxation is strongest when Indians ‘import[t] a product onto the reservations for immediate resale to non-Indians,’ and thus are merely marketing an exemption from state tax.” U.S. Br. 9 n.2 (citation omitted). Neither the United States nor the Tribe denies that the Tribe is doing precisely that in this case.

2. The issue here is further narrowed by the grounds on which the Tribe and the United States defend their *per se* rule. They acknowledge, as we explain in our opening brief (at 20-21), that the Court expressly has *disavowed* the rationale that underlay its early holdings according Indian tribes absolute immunity from state taxation. See Resp. Br. 35-36; U.S. Br. 13. They further recognize that the Court resolves Indian preemption claims in all other settings by conducting “a particularized examination of the relevant state, federal, and tribal interests.” *Cotton Petroleum*, 490 U.S. at 176 (citation omitted). See Resp. Br. 35; U.S. Br. 7-8, 13. And they make *no* attempt to respond to the demonstration in our opening brief (at 22-23) that congressional policy does not require the absolute prohibition of state taxes falling on Indians. In this setting, it is no surprise that the justifications for the *per se* rule of tax immunity that the Tribe and the United States have managed to concoct are strikingly feeble.

First, the Tribe and the United States are wrong when they insist that, apart from its rationale, precedent establishes a settled rule of absolute Indian immunity from state taxation in cases such as this one. Resp. Br. 32-35; U.S. Br. 8-9, 13-14. We recognize, of course, that several of this Court’s decisions refer to a “*per se*” or “categorical” bar to state taxation of Indian tribes. *County of Yakima v. Confederated Tribes and Bands of the Yakima Indian Nation*, 502 U.S. 251, 256 (1992); *California v. Cabazon Band of Mission Indians*, 480 U.S. 202, 215 n.17 (1987). But as we explain in our opening brief (at 19-20), and as the Tribe elliptically acknowledges (at Br. 33), the Court more often has carefully measured its language by indicating that state taxes “generally” are inapplicable to the on-reservation activities of Indian tribes or that there is a “presumption” against the validity of such taxes.⁹

⁹ Citing *Sac and Fox*, 113 S. Ct. at 1989, 1990, 1993, the United States (at Br. 14 n.5) contends that this presumption may be overcome only by an express congressional authorization of state taxation. But on two of the cited pages the Court said nothing at all about congressional action. And on the third, the Court stated that “[a]bsent express congressional direction to the contrary, we *presume against* a State’s having the jurisdiction to tax within Indian country.” 113 S. Ct. at 1993 (emphasis added). The Court did *not* say, as the United States would have

Moreover, as we also explain (at Br. 25), the Court *expressly* has stated that its holdings invalidating state taxes did *not* address claims — like the one made by the Tribe in this case — “that the State could not tax that portion of [tribal] receipts attributable to on-reservation sales to non-Indians.” *Moe*, 425 U.S. at 482. The United States and the Tribe make no response to this point.¹⁰

Perhaps most important, we explain in our opening brief (at 25) that the Court *never* has invalidated a state tax in circumstances even remotely like the ones here, where the tax falls upon the sale of goods that are imported into Indian country for immediate resale to persons (in large measure non-Indians) who will use those goods outside of Indian country, in the process imposing substantial burdens upon the State. Once again, the United States and the Tribe make no response to this point — and certainly do not purport to cite any such decision. It therefore should be clear that we are not asking the Court to depart from any of its prior holdings; to the contrary, we urge the Court to apply principles that it has stated repeatedly.

Second, the United States contends that allowing States to tax Indians is inconsistent with “the Constitution’s grant of authority to Congress to regulate commerce ‘with the Indian Tribes.’” U.S. Br. 13.¹¹ But in this respect the power to tax does not differ from

it, that absent congressional authorization state taxes are wholly precluded.

¹⁰ The Tribe does contend (at Br. 36) that the Court affirmed the *per se* rule in *McClanahan* notwithstanding the demise of the federal instrumentality doctrine as a basis for Indian tax immunity. But as we explain in our opening brief (at 20), *McClanahan* turned on particular treaty language, and in any event stated a rule that applies only to taxes on reservation land or income (see *Mescalero Apache v. Jones*, 411 U.S. at 148) — the sorts of taxes that plainly are invalid under a test that balances state and tribal interests. See Pet. Br. 18-19.

¹¹ The United States also maintains (at Br. 13) that “the power to tax members of a political community is a core hallmark of sovereign authority.” But the Oklahoma tax does not preclude the Tribe from exercising its sovereign authority by imposing tribal taxes on its members; Oklahoma seeks only to exercise *the State’s* sovereign authority by taxing

the power to regulate (indeed, the Commerce Clause is more directly concerned with regulation than with taxation) — and the United States concedes that States are *not* absolutely precluded from regulating the on-reservation activities of Indian tribes. The United States' lengthy constitutional history (at U.S. Br. 10-13) therefore is entirely beside the point.

Third, citing Chief Justice Marshall's observation that "the power to tax involves the power to destroy," the United States suggests that "a State's power to tax could be abused to disrupt the Indian sovereign's ability to govern itself." U.S. Br. 14, quoting *County of Yakima*, 502 U.S. at 258, in turn quoting *McCulloch v. Maryland*, 17 U.S. (4 Wheat.) 316, 431 (1819). Again, however, this does not distinguish the State's power to regulate, which also involves the power to destroy — and, indeed, does so more directly. In any event, the danger posed by the United States is entirely chimerical. Under the ordinary rules that apply in Indian cases, a state statute will be preempted when it infringes "on the right of reservation Indians to make their own laws and be ruled by them." *McClanahan*, 411 U.S. at 172 (citation omitted). Under this test, we have little doubt, as we noted in our opening brief (at 18-19), that state taxes on reservation income, lands, personal property, or other "value generated on the reservation by activities involving the Tribes" (*Colville*, 447 U.S. at 156-157) generally will be held invalid. As a consequence, the United States' per se rule by definition is necessary *only* in cases like this one, where the state tax manifestly poses *no* threat to Indian sovereignty.

an enterprise that imposes substantial burdens upon the State. The United States' further invocation of the exclusion of "Indians not taxed" (see *id.* at 14, citing Art. I, § 2, cl. 3, and Amend. XIV, § 2) from the enumeration upon which the apportionment of Representatives and direct taxes was based is rather puzzling as a ground for Indian tax immunity; after all, Indians are now citizens of the United States and of the States in which they live (see P. Strickland ed., *Felix Cohen's Handbook of Federal Indian Law* 647 (1982 ed.)) and "there are no longer any Indians who can properly be considered 'Indians not taxed' within the meaning of the constitutional exception." *Id.* at 389. All Indians are, of course, now taken into account in the federal apportionment process. See *id.* at 389 n.11.

Finally, the United States and the Tribe contend that their per se rule would limit litigation by "set[ting] a clear standard on which both States and Tribes can rely." U.S. Br. 16; see Resp. Br. 37-38. But even in the doubtful event that this wholly utilitarian consideration could justify invalidation of an otherwise permissible state law,¹² it would not do so here. As we explain in our opening brief (at 30-31), and as this case illustrates, the proposed per se rule would simply change the focus of state-tax disputes, encouraging litigation about where the legal incidence of various state taxes falls — an issue of state law that is likely to give the federal courts considerable difficulty. We also explain (at Br. 30), as do our *amici* PMAA, *et al.* (at Br. 10-11), that the formalistic approach of the Tribe and the United States surely will lead to manipulation as tribes chase the legal incidence (and therefore the tax immunity) up and down the distribution chain. The Tribe and the United States have nothing to say in response to these points.¹³

¹² In a closely analogous setting, the Court rejected the argument that it should adopt "a rule of absolute immunity" from state taxation on the theory that such a rule "would relieve th[e] Court of difficult judgments that on occasion would have to be made." *Complete Auto*, 430 U.S. at 289 n.15. The Court explained "that administrative convenience * * * is insufficient justification for abandoning" the otherwise controlling principle (*ibid.*) — which in this case is that state laws should be set aside only when they have the actual effect of infringing tribal sovereignty.

¹³ The United States' suggestion (at Br. 16) that *County of Yakima*, 502 U.S. at 267, catalogues the sorts of burdens that might follow departure from a per se rule of Indian tax immunity is highly misleading. The Court there rejected the contention that a tribe is *protected* from a congressionally authorized state tax by its inherent sovereign powers, a proposed approach that would have required a particularized inquiry into the tribe's interests at any given moment as to each individual parcel of land subject to tax. See *id.* at 266-268. But it is one thing to say that a balance of state and tribal interests is unnecessary to resolve the question of preemption when (as in *County of Yakima*) Congress has clearly permitted a tax (see *id.* at 267); it is quite another when Congress has not spoken directly to the issue at all. In any event, balancing the competing interests in this case would not require anything like the particularized inquiry proposed in *County of Yakima*. To the contrary, the Court engages in just such an accommodation of competing interests when the

3. The United States (at Br. 15) and the Tribe (at Br. 11, 38) maintain that, because the State permissibly may impose an essentially identical tax in the future (at least on sales to non-members) simply by changing the levy's legal incidence, there is no need to uphold the tax that the State actually did enact. But as we explain above, this argument draws precisely the wrong conclusion from its premise: it confirms that the United States and the Tribe would invalidate the tax not because of any impact it has on economic reality, but instead because the State invoked the wrong formalism in the drafting process. This approach, which would require the State to jump through an otherwise meaningless semantic hoop to preserve its tax, "stands only as a trap for the unwary draftsman." *Complete Auto*, 430 U.S. at 279. The United States and the Tribe offer no explanation for why this dinosaur of a rule, having become deservedly extinct elsewhere in the law (where economic realities are "decisive" (U.S. Br. 15 n.6)), should survive here.

Nor, it should be added, does the State's ability to resurrect the tax by conforming to the Tribe's semantic requirements make this a case of "no harm, no foul." We explain in our opening brief (at 30-31) that the possibility of changing the legal incidence of a tax that has been declared invalid is not a satisfactory solution to the problem posed by the Tribe's per se rule; Indian sovereign immunity will prevent recovery by the State of tax revenue forgone during the period prior to legislative action — a period that often

legal incidence of the tax falls on a non-member of the tribe — an accommodation that in the *Moe-Colville* line of cases favored the State. Moreover, we think it plain that decisions of this Court already establish that particular categories of state taxes — such as the tax on the reservation income of member reservation residents at issue in *McClanahan* — are precluded in virtually all circumstances. As for the suggestion by the Tribe (at Br. 37-38) and the United States (at Br. 16) that *amici* South Dakota, *et al.*, endorse a per se rule of tax immunity, the language they cite appears in the statement of interest section of *amici*'s brief; the argument section of that brief (at 7) states only — and somewhat inconsistently — that "[i]t is often argued that the Court has adopted a per se rule regarding the imposition of state taxes in Indian country." *Amici* offer no defense of the per se rule.

will be lengthy because state legislatures typically do not sit in continuous session. The United States offers no response to this point; the Tribe reluctantly *acknowledges* it to be valid. Resp. Br. 39 n.34.

4. The Tribe (at Br. 40-41) and the United States (at Br. 15 n.7, 24 n.15) contend that taxation of sales to tribal members is impermissible even if the legal incidence of the tax falls on the consumer. But they nowhere explain why this should be so. They do not deny that use of fuel by members of the Tribe outside of Indian country imposes substantial burdens on the State, and they do not contend that imposition of a tax on the sale of such fuel would infringe in any respect on tribal sovereignty. They also acknowledge the Court's suggestion in a related setting (in *Sac and Fox* and *Colville*) that a state automobile registration fee or excise tax would be permissible if it were apportioned to use of the vehicle off of Indian country. Their only complaint is that the tax here is invalid because it is not apportioned. But that argument misses the mark: apportionment is not necessary here because, as the district court found, the fuel subject to tax is "used almost exclusively off of Indian Country on State jurisdiction roads." Pet. App. 36a. Moreover, if we are correct in our view that the Hayden-Cartwright Act applies to sales of fuel on Indian reservations, the Act plainly reaches sales to tribal members; neither the Tribe nor its *amici* contend otherwise.

C. The Incidence of Oklahoma's Fuel Tax Falls on the Consumer

There are only two provisions of the Oklahoma motor fuel tax code that bear directly on whether the *consumer rather than the retailer* shoulders the legal incidence of the motor fuel tax, and both make clear that the consumer does.¹⁴ As we explain in our

¹⁴ The Tribe (at Br. 13) and the United States (at Br. 16) are wrong in contending that the Commission argued below that the legal incidence of the *fuel* tax falls upon the distributor. The Commission certainly did inform the court of appeals — as the statute expressly provides — that "motor fuel distributors are required to report and remit the tax on fuel sold to retailers." CA Br. 10. But the Commission immediately went on to add that "[t]he retailer's wholesale price will include the motor fuel

opening brief (at 35-36), a definitional provision of Oklahoma law refers to the collection of taxes by a distributor or *retailer*, indicating that both collect the tax from someone further down the distribution chain. Okla. Stat., Tit. 68, § 501C (emphasis added). And another provision declares that consumers using fuel for agricultural purposes may purchase it "without paying the tax," again establishing that it is the consumer who ordinarily is expected to pay. Okla. Stat., Tit. 68, § 509A.

The Tribe and the United States acknowledge that these provisions "imply that the consumer will bear the fuel tax." U.S. Br. 20 n.12. Yet the Tribe's only response to this point is the extraordinary contention that the Court should dismiss the explicit statutory language as "colloquialisms" that do not accurately state the meaning of the levy. Resp. Br. 29. Rather than make any effort to harmonize the statute's provisions (as does our approach), the Tribe invites the Court to ignore the provisions that do not comport with its proffered interpretation. We take the Tribe's remarkable argument as an implicit concession that the holding below cannot be squared with the plain terms of the statute.¹⁵

In support of their interpretation, the United States and the Tribe rely principally on two contentions: first, that "the code requires the retailer to pay to the distributor all taxes due" (U.S. Br. 17-18; see Resp. Br. 23)); and second, that distributors receive

taxes which are in turn included in the retail price at the pump." *Ibid.* The Commission *never* suggested that the distributor bears the legal incidence of the fuel tax.

¹⁵ The Tribe seeks to minimize the force of our argument by suggesting that we "[t]ear two clauses from the twenty-two page legislative scheme." Resp. Br. 27. But far from relying on the needle in the haystack, our interpretation invokes provisions appearing in the *definitional* section of the statute. Moreover, as we explain below, we also find support in exemptions that pervade the statutory scheme, reappearing in virtually every section that is relevant to the question at hand. It may be added that much of the "twenty-two page legislative scheme" mentioned by the Tribe addresses matters, such as the administration and distribution of tax funds (*e.g.*, §§ 504, 504.1, 518, 519, 523, 523.1, 525, 526, 531), that have nothing whatever to do with the issues in this case.

credits for tax payments that are uncollectible from retailers, while retailers do not receive credits for payments that are uncollectible from consumers. U.S. Br. 17-18; see Resp. Br. 24. On examination, these arguments are insubstantial. The first is simply wrong because there is *no* statutory requirement that retailers pay the tax on sales of gasoline.¹⁶ The second, meanwhile, does no more than reflect recognition of the market reality that distributors,

¹⁶ Okla. Stat., Tit. 68, § 505E, the provision cited by the United States and the Tribe, gives retailers the option to "pay to the distributor * * * all taxes due on all diesel fuel purchased from distributors or [to] procure a distributor's license"; that provision is expressly limited to *diesel* fuel and therefore cannot by any stretch of the imagination impose a payment obligation for sales of gasoline. As for sales of diesel fuel, Section 505E, like the other provisions discussed in text, fairly may be interpreted as directing the retailer either to pass on to the distributor the tax it collects from ultimate purchasers, or to seek a distributor's license and thereby assume responsibility for remitting that tax directly to the state. Claiming that the tax otherwise would be unenforceable and pointing to the Commission's general authority to enforce the tax code, the Tribe (at Br. 24 n.20) and the United States (at Br. 19 n. 10) also contend that the State must be able to take legal action against retailers who fail to pay. But this argument is tautological. The question here is not whether the Tax Commission has authority to collect taxes from entities legally required to pay; it is whether the substantive portions of the fuel tax code impose a legal duty on the retailer in the first place. And it is clear (unambiguously so insofar as the tax on gasoline is concerned) that the law imposes no such payment obligation. In fact, we are unaware of any case in which the Commission has asserted a legal right to collect motor fuel taxes from a retailer. (The practicalities make clear why this does not create an enforcement problem. The tax is collected by the distributor as part of the total price charged the retailer; in practice, the retailer fails to pay only if it becomes insolvent.)

but not retailers, sell on credit.¹⁷ This says nothing at all about the legal incidence of the tax vis-a-vis the consumer.

Our understanding is confirmed, as we explain in our opening brief (at 36-37), by the tax exemptions that pervade the statutory scheme and relieve *consumers* of the obligation to pay the tax when they meet certain statutory requirements. See Okla. Stat., Tit. 68, §§ 501B, 502.2B, 502.3B, 502.4B, 502.5B, 502.6B, 502.7B, 522(d). The Tribe's citation (at Br. 30-31) to statutes of other States that grant exemptions to consumers while declaring the tax's legal incidence to fall on the distributor reflects a misunderstanding of the inquiry here.¹⁸ The question is not whether the inclusion of exemptions shifts a legislatively declared legal incidence; instead, it is whether, *in the absence of an express legislative statement declaring the tax to fall on the distributor or retailer*, a pervasive system of consumer-driven exemptions indicates that the tax falls on the consumer. Logic suggests that it does.¹⁹

¹⁷ Retailers typically remit the purchase price of fuel (including the tax due) to the distributor on a monthly basis. If the retailer becomes insolvent after receipt and sale of the fuel, but before it remits payment to the distributor, the tax will be uncollectible so far as the distributor is concerned. In contrast, retailers customarily receive payment at the time of sale.

¹⁸ The Tribe also points to the absence of provisions in the motor fuel tax code similar to the provisions taxing the use, gift, possession, or consumption of cigarettes and placing a payment obligation on persons possessing untaxed cigarettes. But in contrast to cigarette stamp taxes, there is an obvious enforceability problem in determining whether a particular gallon of gasoline in an automobile's fuel tank has been taxed. Cf. *Milhelm Attea*, 114 S. Ct. at 2031.

¹⁹ It is for this reason that the Tribe's reliance on *Gurley v. Rhoden*, 421 U.S. 200 (1975), is misplaced. In that case, the Court held that a statutory statement explicitly imposing the legal incidence of the fuel tax on the producer was not undermined by provisions authorizing particular consumers to seek refunds from the federal government for that portion of the fuel tax passed on by the producer. In contrast to the federal scheme, Oklahoma's statute neither explicitly provides that retailers must bear the legal incidence of the tax, nor requires consumers to seek

Finally, aside from its bald assertion (at Resp. Br. 25) that retailers must pay the tax, the Tribe makes no response to our argument that, if the legal incidence does not fall on the consumer, it must belong to the distributor. Just as the retailer is not obligated to pass the tax on to the consumer, so the distributor is not obligated to pass it on to the retailer; neither the consumer nor (as we explain above) the retailer has any legal obligation to pay. The Court therefore should in all events find that the legal incidence of the tax is not on the retailer.

D. Oklahoma May Impose Its Income Tax On Members Of The Tribe Who Live Outside Of Indian Country

In defense of the holding below regarding Oklahoma's income tax, the United States and the Tribe offer mutually — and internally — inconsistent interpretations of the treaty language providing that no "State shall ever have a right to pass laws for the government of the [Chickasaw] Nation." Disavowing the reading given the Treaty by the court of appeals, the Tribe insists (at Br. 45) that a state law is one "for the government" of the Chickasaw Nation if it "increases the cost (and consequently reduces the efficacy) of tribal government." That is the case here, the Tribe continues, because the tax "necessitat[es] the payment of wages higher than would be required absent state taxation thereof." *Ibid.*²⁰ But this approach, which has nothing to do with where the tribal employee lives or works (or, for that matter, with whether the employee is a member of the Tribe), has extraordinary implications. It would mean, for example, that a state law requiring automobiles to have functioning taillights could not be applied to tribal vehicles driven outside Indian country because fixing broken lights would "increase the cost of tribal government"; or it would mean that a tribal

compensation for the passed-through tax through a system of refunds. Instead, it relieves exempt purchasers from the general burden, imposed on other consumers, of paying the tax in the first place.

²⁰ In contrast, the court of appeals found that "[s]ince the income tax is not a tax on the source of the income, it does not impose any burden on tribal government." Pet. App. 22a. Instead, the court invalidated the tax because it believed that the Treaty bars all state laws that fall upon individual members of the Chickasaw Nation. See *id.* at 30a.

employee stationed in California to encourage investment in Chickasaw businesses would be immune from California income tax. The Tribe (at Br. 46-47) acknowledges that the Treaty could not possibly have been intended to achieve such results — but it is unable to explain why its reading would not produce them.

For its part, the United States appears to contend (at Br. 27) that the Treaty precludes any state law that governs *individual* Chickasaws. But as we explain in our opening brief (at 43-44), this approach would bar the imposition of *any* state law on *any* Chickasaw *anywhere* in the country. If, on the other hand, the Treaty is understood to operate only within the Chickasaws' "limits west" (that is, in Chickasaw Indian country), it is impossible to understand — and the United States makes no attempt to explain — why the Treaty bars a state tax on persons living *outside* Indian country.²¹ Indeed, the United States recognizes (at Br. 28-29) that "Oklahoma may assess its residents for the privilege of enjoying the services the State provides to them." And while the United States complains (at Br. 29) that "a tax upon the wages of a Chickasaw nation member-employee * * * is in no way tailored to reflect the costs imposed upon Oklahoma by the fact that the tribal member resides within the State," it is preposterous to suggest that the State may impose only user fees that somehow are "tailored to reflect the costs imposed upon Oklahoma by the fact that the tribal member resides within the State." *Ibid.* States provide innumerable services and benefits to their residents, most of which have values

²¹ It is no answer to argue, as do the United States (at Br. 27 & n.16) and the Tribe (at Br. 45 n.41), that the treaty must be interpreted in accordance with the since-repudiated view that an income tax is a tax on the source of the income. In the understanding of the Treaty's drafters, no person employed by the Chickasaw government ever could be subject to a State's income tax — because no such person would be within the territory of a State. Thus, the federal instrumentality doctrine later articulated in *Dobbins v. Commissioners of Erie County*, 41 U.S. (16 Pet.) 435 (1842), would have been irrelevant to the Treaty's drafters. The point of the Treaty was to guarantee that no State would displace Chickasaw authority over persons or property within Chickasaw "limits west"; here, the State has not asserted its authority at all within those limits.

that cannot be precisely calculated (see, *e.g.*, *Cotton Petroleum*, 490 U.S. at 190); a tax on income therefore universally is regarded as a fair method of determining each resident's proper contribution to the state fisc.

In fact, as we explain in our opening brief (at 45-46), the point of the Treaty of Dancing Rabbit Creek was to place the Tribe wholly outside the jurisdiction of any State. As both the United States (at Br. 26-27) and the Tribe (at Br. 4-5) recognize, the United States believed itself effectively powerless to protect the Choctaw and the Chickasaw from the application of state law so long as they remained within state borders. The Treaty therefore accomplished its purpose by giving the Choctaw (and later the Chickasaw) exclusive jurisdiction over lands that were *not* embraced within a State. See A. DeRosier, *The Removal of the Choctaw Indians* 123 (1970) (principal concern of the Choctaw in the negotiations preceding the Treaty was their demand for "a perpetual guarantee that the United States would never try to possess the Choctaws' new home in the West"). But Congress subsequently abrogated the Treaty's enforcement mechanism and rendered nugatory its premise — that there would be minimal contact between Chickasaws and non-Indians because Indian Territory "would be 'free of white men except for a few soldiers'" (U.S. Br. 26, quoting DeRosier, *supra*, at 104) — by allotting the Chickasaw lands and then incorporating them within the State of Oklahoma.

In saying this, we do not contend that the admission of Oklahoma to the Union overrode the Treaty's prohibition of state laws "for the government of the [Chickasaw] Nation." See U.S. Br. 28; Resp. Br. 47, 48 & n.44.²² But this background confirms that the language of the Treaty, which gave the Chickasaw Nation

²² We therefore do not contend, as the Tribe asserts (at Br. 47), that the prohibition of such laws was "redundant surplusage" that was rendered nugatory by abrogation of the treaty provision declaring that Chickasaw lands would never be embraced within a State or Territory. Having said that, however, it is difficult to see what force that language *could* have had so long as Chickasaw lands were outside the borders of any State or Territory.

jurisdiction over persons and property within their limits west "so that no Territory or State shall ever have a right to pass laws for the government of the [Chickasaw] Nation," was designed only to preserve the operation of tribal government within the Chickasaw lands. And the Court's decisions (cited at our opening Br. 47) make plain that, in light of intervening legislation, interpretation of the Treaty must accommodate Oklahoma's legitimate interest in taxing conduct involving Chickasaws that has effects or imposes burdens upon the State outside of Indian country.

CONCLUSION

For the foregoing reasons and the reasons stated in our opening brief, the judgment of the court of appeals should be reversed.

Respectfully submitted.

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